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Role of Remittances in Pakistan Economy

Analysis of the Current Status and Guidelines for Reforms

Role of Remittance's in Pakistan Economy; Analysis of the current status and guideline for Reforms

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List of Acronyms and Abbreviations

Remit;	Remittances
DfID	Department for International Development
Fig.	Figure
KPK	Khyber PakhtunKhwa
DOP	District of Punjab
DOS	District of Sindh
Mig	Migrants
Rm	Return Migrants
WALS	Weighted Average Least Square (Types of Analysis from which pattern of utilization of remittances are measured)
KSA	Kingdom of Saudi Arabia
NGOs	Non-Governmental Organization
No.	Number
PKR	Pakistani Rupees
%	Percentage
TP	Training Programs
USD	United States Dollar
PDC	Primary data collection
WB	World Bank
WWF	World Wide Fund

LIST OF ANNEXURE

EXECUTIVE SUMMARY

Remittances for a very respectable size in the economy of Pakistan, and they form about 8.8% of GDP. These remittances play extremely important in management of Pakistan economy, mainly contributing to the management of current account balance. For a long period over the history, Pakistan is facing large trade deficit and the remittances are used to bring the current account deficit at balance. However, when remittances reach the country through formal channels, the bank keep the foreign currency with them and pay rupee in exchange of it. Thus about Rs. 3.3 trillion come into the pockets of recipients. The earlier studies on remittances show that the marginal propensity to save for the remitters is much higher compared to the overall propensity to save. Supposing marginal propensity to save to be only 20%, the amount of saving should be sufficient to finance millions of jobs. But no job related activities are observable.

The first question arises that how remittances contribute to the economy? A model was estimated using WALS approach which show that the huge surge in remittances didn't effect the pace of growth of economy.

The second question that arises is; what is happening to the remittances that they don't contribute to economy. Extensive Survey was carried out in selected cities of all four provinces, Azad Kashmir, Islamabad Capital territory and Gilgit Baltistan to find the answer to this question. The findings reveal that largest share of the investable part of remittances goes into real estate, especially sale and purchase of plots which is extremely capital intensive business and one doesn't contribute to the employment generation and any other economic benefit.

The next important question was to recommend the measures for enhancing the flow of remittances through formal channels and to recommend measures for welfare of remittances. We propose that in order to increase the formal inflow, SBP should subsidize the formal inflow. This subsidy would be proportional to size of remittances and would not be directly encashable. Half of this subsidy is deposited to the premium for health and life insurance of the remitter and his/her family and remaining half of subsidy is to be deposited to a welfare fund for remitter. The amount deposited to the fund along with the profit would be payable to the remitter when he/she quits overseas job, or when he/she intends to finance the business of any of his heirs. Such a subsidy would be a goodwill gesture from the government for the remitters and would help remitters to start a business when he/she comes back to the homeland. Since this subsidy would not be directly encashable, it would not affect the current exchange rate.

The last and most important question was; how to utilize the remittances in better way. We have found from the data we collected that the major chunk of investable remittances goes into real estate and in particular, business of plots. This is extremely capital intensive business and we have to replace it with some labor intensive business. We argue that the investable part of remittances can be invested in the mega-development projects using bonds issued in the name of projects. The investors may be paid return when the project become mature. We argue that such an investment must be protected through proper legislation. We also discuss the necessary measures needed to make such investments viable.

1

INTRODUCTION

1.1 Project Area

Remittances play a crucial role in Pakistan's economy, providing a much-needed inflow of dollars to boost foreign exchange reserves. Past three decade proves very successful for developing countries which show increasing trend of remittance inflow. Pakistan has received $ 21.8 billion worth of remittances during the financial year 2018-19. This inflow of worker remittances makes it a big number compared to the number in national accounts. The size of remittance is equal to about 8.8% of GDP and 47% of the federal budget. This is such a huge amount that only few percent of this amount can finance hundreds of thousands of jobs. But unfortunately neither any job impact of worker remittances is visible nor do we see any significant impact of these remittances on overall economic activity, apart from real estate. It is also evident from several studies that the marginal propensity to save for remitters is much higher than the overall marginal propensity to save. For example, Arif, (2017) show that the marginal propensity to consume for families of remitters is only 40%. This means the investable portion of remittances is 60%, and if it was invested in some labor intensive business, millions of jobs could be produced. But we don’t observe any business activity financed by remittances apart from real estate. This motivates us to study the pattern of utilization of remittances by the families of remitters. The demographic indicators of Pakistan indicate very rapid expansion in the working age population during coming 10 years. According to Census 2017 report, there are about 42 million people in the age group 15-24 today. These people will enter the job market in coming 10 years and Pakistan will need to create more than 30 million jobs to handles these jobs seekers during coming 10 years. The economy is currently creating only 0.4 million jobs per annum (Vol.19, No.3 Tribune, 2020). This means that if the efforts for job opportunities are not extended, the demographic dividends may turn into demographic bomb. This project aims at designing a policy to utilize the worker remittances for creation of new job opportunities.

The remittance inflow during financial year 2018-19 was recorded to be US$ 21.8[1] billion which is equivalent to 3357 billion measured in terms of Pakistani rupees. To have an idea of the potential of these receipts, let us compare it with some of the figures in the federal budget. The budget reserved for 'employee related expenses' in the defense services for the financial year 2018-2019 was only PKR 422.91 billion which is just 19% of the remittances receipt[2]. This implies that if only 19% of the remittances could be utilized for job creating activities, one can finance number of jobs equivalent to the count of persons in Pakistan army. There is also a significant amount of remittances coming into the country by informal means i.e. by hand or by relatives. Research studies estimate the informal inflows to be between 40%-200% of the formal remittances Abbas, F., Masood, A., & Sakhawat, A. (2017). Therefore, the most careful estimate of total inflow of remittances could be about US$ 25 billion which is more than 800% of expenditures incurred on financing the salaries of Pakistan army (Budget, 2018-19).

With such a high amount coming into country, and with one of lowest saving rate, it becomes very important to look at the remittances and their potential of to substitute the saving which could be converted into investments. To bring something useful out of remittances, it is important to analyze where the remittances are currently consumed and what better can be done with these remittances. This project is aimed to analyze the existence pattern of utilization of remittances and to suggest the measures for improvement in utilization pattern.

We know one very significant contribution of the remittances. The foreign currency sent by remitters is used to finance the current account deficit. At present Pakistan is facing trade deficit of about US$28 billion. Major part of the deficit in trade is financed by equivalent amount of the remittances. So hats off to the remitters, without their contribution, it would be extremely difficult to finance such a huge trade deficit.

[1] www.sbp.org.pk
[2] Federal Budget 2018-19

However, the banks pay rupees to the families of remitters in exchange of the foreign currencies. Therefore, an amount of over PKR 3.3 trillion comes into the hands of public. Obviously not this entire amount is consumed by the families of remitters; there must be some saving along with the consumption. We already have discussed that if only 19% of remittances be used for job creating investments, a Pak army equivalent work force could be financed. But so far, this is not happening.

The aim of this project was to analyze the pattern of utilization of remittances and with special focus on the investable portion of remittances, to propose a strategy for promotion of inflow of remittances through formal channels and to propose a strategy for providing alternate investment opportunities. For this purpose, an extensive study is carried out for which primary data is collected through systematic sampling and the pattern of utilization of remittance is analyzed.

1.2 Research Objectives

The key objective of the study is to examine the role of remittances in economy of Pakistan; analysis of the current ongoing status and to prepare strategy for improvement in the inflow of remittances through formal channels and to prepare a strategy for better utilization of remittances. This can be split into following sub-objectives:

- To analyze the impact of remittances on economic growth of Pakistan.
- To study the pattern of utilization of worker remittances with a focus on the amount leftover after consumption.
- To know the jobs status of the returned migrants and their causes of returns to homeland.
- To recommend strategy for increasing inflow of worker remittances through formal channels & suggestion for better and effective utilization of remittances so that employment generating activities could be financed by the remittances.

1.3 Report Structure

This report is structured as follows: Section 1 explains project area and research objectives, section 2 discusses history, recent trends, mechanism of remittances and literature review. Section 3 outlines how the research was carried out, describing the details of data collection, sample design, methodology. Section 4 presents the key findings of the study, role of remittances on economy of Pakistan and its utilization pattern. Section 5, describes the survey results of Migrants. Section 6 explains survey results of Return Migrants. Section 7 describes the conclusion, summarizes the key findings and discusses their implications for policy recommendation.

2

History, Recent Trends, Mechanisms of Remittances And Literature Review

International remittances have been generating much interest over the past decade. Donors such as the UK and the US, and multilaterals including the World Bank, the Inter-American Development Bank and the Asian Development Bank, have all launched substantial remittance initiatives and projects during 2017-18. This interest is the result of an increased appreciation of the importance of remittances, and a significant increase in the levels of recorded remittance flows. Pakistan receives a significant amount of remittances. This section discusses briefly remittances history and recent trends, the mechanisms used to send them, the way they are used and their impact and national and International review.

2.1 History and Recent Trends

Since independence in 1947 – an event that itself was profoundly linked to migration – millions of people have immigrated to and emigrated from Pakistan, resulting in a vast network of migrant connections around the world. The Pakistan government puts the current expatriate population at around seven million, many of them residing in much richer countries in the West and the Persian Gulf. As a result, Pakistan is one of the largest recipients of remittances in the developing world. For many years, official remittances have exceeded either foreign direct investment or official development assistance. In the 1980s, remittances were linked to a rapid decline in poverty levels and in recent decades the level of official remittances has continually increased. In 2005–06 (the year of the earthquake), official remittances reached some $430 million, an increase of over 10% over the previous year (State Bank of Pakistan, 2006). It is important to stress that estimating remittance flows accurately is fraught with difficulties, and the data needs to be treated with great caution. The main sources of overseas remittances are Saudi Arabia, the United Arab Emirates (UAE), the UK and the US. Iqbal, Z., & Sattar, A. (2010).

2.2 Remittance Mechanisms

There are a multitude of ways in which people can move money or goods around the world, and a huge number of remittance mechanisms are in use. One common, though problematic, distinction is between formal and informal mechanisms. For the purposes of this study, we follow the definition of informal transfers used by Pieke, Van Hear and Lindley (2005): informal transfers are transfers 'initiated outside the formal banking systems and outside the mainline money transfer businesses'.

Formal remittance mechanisms commonly used in the study area are banks (Habib, National Bank) and the Post Office (which acts as an agent for Western Union and has an agreement with Habib). Together, they offer several means of moving money, including postal money orders, wire transfers and bank accounts. The primary disadvantage of these systems is the need for recipients to come to the offices of the agent, and these agents' limited rural outreach.

Two informal remittance mechanisms are commonly used in the study area. The first is personal, hand-carried, delivery; the second involves sending money via a money-changer (the Hundi or Hawala system). Hand-carried remittances depend on home visits by a migrant family member or other trusted individual (usually another migrant from the same village). The main advantage of this channel is that it is, in a simple sense, free: the amount remitted is exactly the same as the amount delivered. The main disadvantage is that the frequency and regularity of remittances is tied to the frequency and regularity of a migrant's home visits. The second mechanism, transfer via money-changers, incurs a commission, but the total cost is lower than with formal mechanisms, and recipients get their money quicker than they do through official channels. The fact that details of the whole transaction are clearly and simply agreed from the start makes it less likely that remittances will be delayed or diverted.

International policy changes implemented in a bid to curtail terrorism funding have a significant influence on remittances to many countries, including Pakistan. Since 2001, official flows to Pakistan have markedly increased, suggesting that the balance between formal and informal channels has moved in favour of the latter. Meanwhile, the Pakistan government has introduced a series of measures designed to encourage the use of formal channels, including more favourable exchange rate regulations, and Pakistani banks abroad have begun offering free-of-cost money transfer services.

2.3 Utilization of Remittances

Globally, these flows of private funds are predominantly used for household consumption, rather than investment and saving (Steimann, 2005). Typically, this consumption is to satisfy the basic subsistence needs of the household, such as food, clothing, medicines, education and housing (Meyers, 1998; Black, 2003; World Bank, 2006; Iqbal, Z., & Sattar, A. (2010), .). Research in Pakistan shows that remittances are predominantly used to meet daily expenses such as food, clothing and health care; however, funds are also spent on building or improving housing, buying land, cattle or durable consumer goods, the repayment of loans for migration and to fund pilgrimages to Mecca (Steimann, 2005; Siddiqui and Mahmood, 2005). As an income source for daily consumption, remittances form a critical part of the livelihoods of recipient households.

Several studies show that the stability and reliability of remittance flows mean that they play a significant role in 'consumption smoothing' (World Bank, 2006). In other words, while other forms of income may be variable and unpredictable, remittance income is constant and allows the household to absorb shocks and unexpected expenses. This implies that migrant worker remittances can be a form of insurance for use at a time of urgent need, such as in an emergency. Indeed, there is evidence to suggest that remittance flows may increase in response to crises (Yang, 2005; Yang and Choi, 2005; World Bank, 2005, Iqbal, Z., & Sattar, A. (2010), Abbas, F., Masood, A., & Sakhawat, A. (2017)). In Pakistan, while remittances were initially severely disrupted by the earthquake, they have significantly increased in the year following it (State Bank of Pakistan, 2006).

KPK and Azad Kashmir attract the highest amount of remittances in Pakistan due to the large number of migrants from those areas working abroad, particularly in the Persian Gulf states. Gazdar (2003) reports that, in KPK, 10% of households receive remittances, and the government reports that, for 2001–02, remittances to households in KPK accounted on average for 7.3% of monthly income. According to Shah (2006), the figure for Azad Kashmir was 25.1% in 2001. Such statistics must, however, be treated very carefully. Migration, and the remittances that result from it, is distributed unevenly within these areas, and livelihoods vary greatly according to geography (see Steimann, 2005), especially altitude and rainfall. Areas of low agricultural productivity have been the main sources of labour migration to the Gulf (Gazdar, 2003).

2.4 National Literature Review (Pakistan)

Migration and remittances both have positive impact on countries (which sent migrants and which receive migrants) and on world economy as whole. It provide workers to that areas where their own worker do not want to work, migrant worker help to soften labor market rigidities, and improve productivity of market, migrant's spending in host countries have multiplier effect, and competition among the less skilled worker in developed countries increases (Ratha, 2005). The remittances also increased the enrollment of school and decrease the child labour (Calero (2008).

Three reason of migration identified by Hatton and Williamson (2002) are, first, when there is large wage difference between different countries, second, fall in cost of migration in developing countries and third, size of market.

Many studies have been done in respect to find the effect of remittances and migration on macro and micro variables as, poverty, inequality, welfare, consumption, investment, saving etc. Remittances help at macro level in order to reduce poverty, reducing unemployment, increasing growth, investment, improving living standard of households and welfare of people of receiving country. At micro level remittances improve health, education, mortality, durable goods, holding of households, and awareness among households (which receive remittances). In order to find the effects of remittances at macro level Amjad, 1986, Amjad, 1989, Nishat and Bilgrami, 1993, Arif and Irfan, 1997, Lucas, 2007, Qayyum et al., 2008, Bjuggren, et al. 2010, Irfan 2011, Amjad et al, 2012, Jahangeer, 2014, Bakkar, 2015 and many more economists have done different studies but in this chapter we focus more at micro level studies for our literature.

Gilani et.al (1981) conducted the survey of labour migration. Two objectives of the study were to generate the large data on Pakistani emigrants in Middle East. Second was to find cost and benefits of emigrants. This can be called the first detailed survey in any developing country on migration. They surveyed three airports of Pakistan and gather the data about 15000 passengers who left from Lahore, Karachi and Islamabad airports. They took the detail information of passengers of more than 10000. Then took the small sample from it and asked the families of them, about remittances. About 46 families were selected for interview from all four provinces.

In second phase there were no data or minimal data at government department that is why at first stage the survey was conducted of 12000 passengers on airports. In second stage 250 villages and 50 towns and cities were chosen for interview, the address were given by passengers. Third stage interview of control group was conducted (have no migrant). Fourth stage interview of 277 conducted who returned permanently. About 800 passengers were interviewed at fifth stage at airport lounge who depart after a temporary visit at home.

Different Questions were also asked from household about emigrants and remittances. And found positive impact of emigration on the real wages. Remittances helped migrants in raising consumption and improve income distribution (Gilani, 1982). Most of remittances were spent on unproductive purposes like real estate, consumer durables and residential houses. Inflows of remittances have positive income effect on consumption. Consumption type investment, purchase/construction of own residential house, improvement in house, purchase of other real asset, purchase of durables, expenditure on health and education. Productive investment, agricultural investment, agricultural machinery, purchase of livestock, improvement of agriculture land, modern inputs for agriculture. 62% of expenditure goes to current consumption and 22% in real estate.

Nishat and Bilgrami (1993) used data from Overseas Pakistani Foundation (OPF) and found pure altruism and pure self-interest are the two theories which determine the motivation to remit in Pakistan. Pure altruism motive is supporting family whereas Self-interest related to scarify of migrant's education, income, level of skills and living without family. Accumulation of property is another self-interest motive to remit. This study also showed that the skill worker remits 5.5% less than unskilled worker and worker living in urban areas remit more than the worker in rural areas.

Adam (1996) used 3SLS on Pakistan survey data and found that external remittances positively and significantly affect land holding and livestock of households. Effect of Internal remittances was not significant on assets holding of Pakistan rural households. For rural household of Pakistan, as most of Pakistani households are engaged in agricultural, to find the remittances effect on agricultural machinery and found both type of remittances did not have significant effect. External remittances had significant and positive effect on non-farm assets of household. According to Adam (1996) external remittances play important role in progression of assets for household. But cannot ignore the role of both internal and external remittances for improvement of household.

Adams (1998) used the survey data of Pakistan, which was conducted for the poverty. In this study data was collected from the five districts of Pakistan and those districts were poor districts of Pakistan. It was aimed to measure the effect of remittances on the rural asset accumulation. This study showed that external remittances had significant impact on the irrigated land and rain-fed land accumulation in rural areas. Whereas external remittance does not effect livestock and non-farm assets of rural areas. Impact of external remittances is significant whereas internal remittances were insignificant because external remittances play role like transitory income and marginal propensity to invest from transitory income is higher than permanent income. This study showed that remittances do not effect each and every physical asset but contradict the view of common notion that remittances are widely used for the purposes of consumption and external remittances are more important in playing role in every day.

Siddiqui and Kemal (2006) used HIES data and measured the effects of trade liberalization on poverty reduction and found on the whole that decline in remittances reduce the gain of trade liberalization. Decline in remittances also increase poverty, increase income disparity and remove positive impact of trade liberalization. But individually, due to trade liberalization in the presence of decline in the inflow of remittances rural household got benefit because welfare of rural household increased by1.4 percent but welfare of urban household decline by 1.6 percent.

Siddiqui (2013) used PIHS 2002 data conducted by Federal Bureau of Statistics (FBS). In this study she divided the household in two types; remittances beneficiary household (RBH) and non-remittance beneficiary household (NRBH) and found that expenditure on education of RBH are higher than the NRBH. It was also founded that Cash Holding, Jewellery, Electricity, Gas, telephone facility, bank deposit, consumer durable, non-land assets are higher in RBH than NRBH. Results of paper are that household with same education and qualification have higher income abroad than domestic country. Remittances do not put significant effects on the accumulation of livestock, land holding, jewellery and loans but remittances raise the living standard and reduce that poverty. Poor household are relatively more benefited than the rich household. Over all the growth impact of remittances are inconclusive.

Ul Haq et al. (2014) used PPHS data to measure effects of poverty on migration of Pakistan. It was found that those households which had land were negatively related to migration but poverty status of household do not have any effect on migration. Household characteristics have influence on the migration of household, and migration is the aggregate decision of household. By using logistic regression results showed that size of household, and education of family positively related to out migration. Age of a person are more likely to migrate but older people are less likely to migrate.

Awan and Javad (2015) tried to identify the impact of migration that what are the cost of migration for Pakistani household and what are the benefits they achieve from migration. Their finding shows that migrant' family enjoy more wellbeing, more facilities, than non-migrant' family. Migrant' family have more likely to have better health, education, food, non-food, home appliance, and vehicles then non-migrants.

Most of work on remittances is done at macro level that how remittance effect GDP of country, inflation, employment rate, interest rate, inequality, and poverty etc. Micro studies of remittances at household level are limited. In existing literature a lot of work has been done but still there are some new ways and dimension remains to be done and gap can be found. As Lucus and Stark (1985) gave theories of remittances but do not explain the uses of remittances that how household can be benefitted by these remittances. Chiteji and Stafford (1999) and Vicki L.Bogan (2014) used single variable i.e. wealth which effect household assets accumulation, but here this study will divide wealth of household in three ways as labour income, external remittance, and internal remittances.

Ledesma and Piracha (2001) found that remittances were helpful for investment and productive purposes but did not identify that goods which could be benefitted by remittances. Dorantes and Pozo (2014), Yang (2008) measured uncertainty involve with income of household and their effect on assets accumulation our study will avoid uncertainty of remittances. In the same way Osili (2004), Ratha (2005), concluded that remittances increase the investment of households in human capital, this study will cover the gap by checking effect of remittances on physical capital. Gilani (1981) done survey and gave different figures for migration and remittances, he did not estimate data by using proper estimation technique. Studies done by Adam (1996, 1998) for Pakistan used panel data which was of 1985 to 1990 and included only poor districts of Pakistan. That study has limited household and survey which he used was not representative survey of Pakistan. Siddique and Kemal (2006) measured macro variables for Pakistan by using HIES data and Siddique (2013) used PIHS (2001-02) data and used propensity score matching (PSM) for finding the effect of remittances on household assets holding, consumption and investment decision. Javad and Awan (2015) used time series data for finding effect of migration on household facilities but ignore physical assets accumulation.

Qayyum et al. (2008) investigate the effect of remittances and growth of economy and poverty in Pakistan by using auto regressive distributive lag model approach. Time series data of annual data period from 1973 to 2007 have been used. The study shows that remittance has positively significant contribution in economic growth and reduction in poverty. The study suggests that Remittance improves the social and economic condition of the poor people of developing country like Pakistan. Karagoz (2009) investigates the association of worker’s remittances and economic growth in long run by using Co-integration technique using the data of Turkey from period 1970 to 2005. Empirical evidence shows the negative and statistically significant relationship between worker’s remittance and growth of economy.

Giuliano (2008) explored that remittances increase growth in countries with less developed financial system as it produces an alternative method to finance investment and decrease liquidity constraints. Workers remittances also play a vital role in human capital investment in the recipient country through reducing resource constraints. Jongwanich (2007) utilize the GMM to observe the impact of worker's remittances on growth of economy and poverty by using annual data of 17 developing Asia Pacific countries from 1993 to 2003 of 17. The empirical result shows the significant impact of worker remittances on poverty declination and trivial impact on growth. Catrinescu et al (2006) finds that remittances exert a weakly positive impact on long term macroeconomic growth. Furthermore, the study also suggests that long term development impact of remittances enhances in the presence of sound macroeconomic policies and institution. Fayissa and Nsiah (2008) examine the effect of remittances on growth of economy and development within the typical neoclassical growth framework by using data of period from 1980 to 2004 of 37 African countries. The study finds that remittances increase economic growth in countries where economic systems are not very strong by giving an alternative way to finance investment and help to conquered liquidity constraints. Iqbal and Sattar (2005) study the contribution of remittances to economic growth in Pakistan from 1972-73 to 2002-03. The study shows that real Gross Domestic Product growth is positively correlated to worker's remittances and worker's remittances appeared to be the third significant source of capital for economic growth in Pakistan. Fayissa and Nsiah (2010) explore the long run relationship between worker's remittances and economic growth by using panel data from the period 1980 to 2005 of 18 Latin American Countries (LACs). The study shows that remittances have significant and positive impact on growth where financial systems of Latin American Countries are less developed and provide an alternative way to finance investment and help to overcome liquidity constraints.

Regression results suggest positive and significant impact of workers' remittances on economic growth in long run. Ahmed et al. (2011) finds the impact of remittances on economic growth in short run and long run by employing bound testing approach and error correction model. Annual time series data from 1976 to 2009 have been used for this study. Result shows the positive and significant impact of remittances on economic growth in both short run and long run. Das and Chowdhury (2011) examine the relationship between remittances and economic growth by using the panel data from the period 1985 to 2009 of 11 remittances recipient developing countries. Results indicate the positive and significant relationship between remittances and economic growth. The study also suggests that these countries need to formulate policies to use this external resource in other productive sectors.

Yasmeen et al. (2011) empirically find the impact of worker remittances on private investment and total consumption by using annual time series data of period from 1984 to 2009 of Pakistan. The results of the study positively correlated with private investment and total consumption which in result increase the economic growth of Pakistan. Azam and Khan (2011) explore the impact of worker's remittances on economic growth by using the annual time series data of Azerbaijan and Armenia from the period 1995 to 2010. The result shows the positive and significant impact of workers remittances on economic growth and development of both economies. The study suggests that the authorities of both countries need to make new policies to encourage the worker remittances.

2.5 International Literature Review

Lucas and Stark (1985) give the three theories of remittances, which are Pure Altruism, Pure Self Interest, and Tempered Altruism or Enlightened Self Interest. It is explained why the different people remit to their home and found that sons remit more than the any other family member of household because the son inherit more. It was also found during the crisis the remittances received to household increases. The three main reasons for remit are to aspire to the inheritance, for rural investment and keep his dignity at home. Pure altruism is one of the most important reasons for remit. Chiteji and Stafford (1999) measured the African-American families' choice for assets accumulation and found that income, education and number of children in family significantly affects the holding of assets in families.

Ledesma and Piracha (2004) analyze effect of migration and remittances on Central and East European countries (CEE). Migrant help his family in form of remittances. Remittances are used for investment and in productive proposes in home country. Due to migration unemployment rate of home country reduces.

Osili, (2004) find positive relationship between the migrant remittances and investing in housing used Probit Model on data collected through US-Nigeria Migration survey (1997). These remittances not only increase the utility of migrant and his family but also create jobs in nation, increase the business of material sellers and housing selling and rental business of houses. Ratha, (2005) explained that household investment and consumption level increase as they receive remittances.

McKenzie (2005) has measured the effects of migration on Mexican household. Migration help in improving the health of children, reduce the infant mortality, help the relatives in migration and have positive impact on education. Migration change the inequality among nations which receive remittances. McKenzie (2005) find that migration effect education in both ways that it increases and as well as decrease the education. Reason are given that due to migration children could not get full attention of parent so there is reduction in education. And secondly increase in education among migrant household due to received remittances that they can easily pay fee for education.

It is also found that those household which receive remittances have low child labour rate because they had more income resources. Migration increases likelihood of community due to spillover effect. Schmidt and Sevak (2006) measured household characteristics' effects on assets accumulation in United States and found that younger household head saves or invest more aggressively. Younger household save more than older household head. Household having male head attain more assets than female head. It`s been found that education also put positive impact on assets accumulation of household.

Yang (2008) identifies the effect of migrant`s income shocks on a range of investment outcomes in Philippine households, such as child schooling, child worker and entrepreneurial activity. It was also examined that how exchange rate shock affects the household activity and investment decision. Household consumption is negatively related to shock whereas positively related to the purchase of durable goods. By asking the relationship with human capital investment shock is positively related to student indicator, more child stay in schooling and less child worker. Self-employment also increases with shocks and are more likely to start relatively capital-intensive entrepreneurial enterprises.

Using OLS and Tobit model Dustman and Mestres (2010) analysed holding of assets and saving of migrant depend on his planning of returned migration. It was found that those households which take migration as temporary or having the idea to returned to their home land they save and accumulate assets at their home country than those who do not take migration as temporary. Those migrants which take it as permanent so they accumulate assets in host country. It was found that there are no significant differences between permanent and temporary migrant's saving, assets and property but those who have plan to returned to their home country they save and attain more property in home country then host country.

Adam and Cuecuecha (2010) measured the effect of remittances on household of the Guatemala and divided the household in three groups, i.e. receive no remittances, receive internal remittances and receive external remittances and found that the household with receiving the internal and external remittances were more likely to invest in human and physical capital. The conclusion was drawn that household with remittances spend less on food and invest significantly more on education and housing. It was also concluded that there is positive significant effect of remittances on economic development by enhancing the level of investment in housing, this create new income and employment opportunities for labours and new business opportunity for merchants selling building material.

Yang (2011) shed light on different studies of remittances, i.e. migrant priorities over the usage of remittances income are different from the household left behind, utility of remittances, cost of remittances etc. Motivation of remittance incorporate a several types of aims, including altruism, exchange, and loan repayment. Remittances might be sent to immune a future inheritance from elders being supported in country of origin. Shocks of exchange rate increase the entrepreneurial activity and remittances serves an insurance role. Household build-up saving or assets in good time and play out these in hard time.

Manner (2011) studied on Mexican economy and found migration is negatively related to education and healthier economic activity. Adams and Cuecuecha (2013) explained that how the domestic and international remittances effects the investment and poverty of Ghana. Household were divided in three categories without obtaining remittances, obtaining the domestic remittances, obtaining the international remittances and household receiving the remittances spend less on the consumer goods like food. Those household who received the remittances spend on education, health, and housing. Remittances are treated as transitory income, so they do not spend on the consumable goods. Remittances reduces the poverty of Ghana. Adams used the Probit model, Logit model and Heckmen.

Ojapinwa and Odekunle (2013) explained in their study that remittances had significant impact on investment by using Time series data collected through Central Bank of Nigeria, Statistical Bulletin Annual Statistical Digest of the International Financial Statistics (IFS) of the International Monetary Fund (IMF) and the World Development indication of the World Bank. The complementarities between the interactive variable implies that remittances could bring about more growth if financial sector is more developed and the other incentives are provided for remittance recipient economies.

Dorantes and Pozo (2014) identified how uncertainty involve in remittances effect the assets accumulation. Remittances significantly affect expenditure of household on human, physical and financial assets. It was concluded that as the uncertain situation increases for household they will increase assets accumulation and also investing remittances for productive purposes.

Vicki L. Bogan (2014) established household spending on assets, that how household characteristics play role in investing in assets. Results which were drawn that households which have children at college level so they invest in risky assets and those households which have elder person in household they invest in more safe assets.

Propensity score matching and OLS techniques used by Randazzo and Piracha (2014) to measure the use of international remittances on Senegal. They measured remittances effect on seven type of goods, i.e. food consumed and durable goods, housing and land, investment education, and expenditure on funerals, engagements and weddings. They found that domestic transfer do not have impact on expenditures whereas international transfer have positive effect on expenditure. Household driven by female have more probability of receiving remittances. International remittances mostly effect the expenditure of food, durables, consumed goods, education and investment. Education of head have positive impact on housing and land. Household which receive international transfer devote less for food and more for durables, education and investment.

2.6 Conclusion and Research Gap

This chapter gave brief review of different studies which are conducted in different time period to measure the effects of remittances and those studies are also included in literature in which different variables have been discussed which could affect assets accumulation. Most of studies are done to find out the effect on macro variables and a few have been conducted at micro level.

Above literature guides us that there exists a research gap to analyze the impact of remittance on economic growth of Pakistan, to study the pattern of utilization of workers remittances with a focus on the amount leftover after consumptions, to formulate strategy for better and effective utilization of remittances so that employment generating activities could be financed by the remittances. This study also investigate the jobs status of the retuned migrants which is not addressed earlier.

3

SAMPLE DESIGN, DATA COLLECTION AND METHODOLOGY

The first objectives of this study was to study the impact of remittances on the economy of Pakistan using secondary time series data of remittances and Growth. This kind of analysis is routinely carried out, but the findings remain subject to criticism. Basically, there are many models for growth and the standard econometric theory says that whenever a relevant variable is ignored, the results of remaining model are biased. The variables that could be labeled as relevant for the economic growth are very large in number, and taking all these variables in a single econometric model is not feasible. Therefore, this reports adapts novel and latest Weighted Average Lest Square Approach to analyze the effect of remittances on economic growth.

The analysis for remaining objectives of this study is based on primary data, collected through appropriate sampling procedure using a well-designed questionnaire. The methodology for collection of primary data is mentioned in section 4.2

We also analyze effect of various factors such as education, country of destination on the inflow of remittances, the methodology for this analysis is described in section 4.3

3.1 Weighted Average Least Square Approach

It is well known phenomenon that any two time series regressed onto each other may show significant relationship even when there is no causal connection between the series. This phenomenon is called spurious regression. The possibility of existence of spurious regression demands very careful investigation when there are some clues of causal connection in the two series.

One main reason for spurious regression which is mentioned in the classical econometric literature is the existence of non-stationarity. The most popular procedure present in literature to deal with the spurious regression challenge is the unit root and cointegration analysis. Therefore, unit root and cointegration are most commonly applied to eliminate the probability of spurious regression. However, Granger et al (2001) prove that spurious regression can exist in the time series regression even when there is no non-stationarity. On the other hand, the cointegration analysis and all other existing remedies for spurious regression relate to non-stationarity. Therefore, the findings of Granger et al (2001) have put a serious question mark on the validity of techniques to deal with the spurious regression.

When unit root and cointegration don't offer sufficient solution of spurious regression problem, one has to find other reasons of spurious regression and to adapt a methodology which can deal with these reasons. Before the findings of Granger and Newbold (1974), missing third variable was considered as most important reason for spurious regression. Ghous et al (2018) have shown that the Granger and Newbold (1974)'s experiment can also be viewed as an experiment with missing variable. Therefore, one has to deal with the missing variable(s) to avoid the probability of spurious regression.

But with growth regressions, it is not very easy to take into account all the relevant variables. There are very large number of covariates of GDP growth mentioned in the literature. One cannot ignore anyone of them because ignoring a relevant variable leads to missing variable bias. On the other hand, it is also not feasible to take all these variables into account because it will make the model too large to handle.

One way to handle this problem is to use the Weighted Average Least Square (WALS) approach. The WALS approach divides the list of candidate explanatory variables into two categories; (i) core variables and (ii) auxiliary variables. Very large number of OLS type regressions are calculated where the core variables remain part of every regression, and but the auxiliary variables are rotated in a systematic way.

Suppose there are N number of regressors which can be divided into K core variables and M auxiliary variable. These K core variables would be part of every regression. On the other hand, choose a number $L \; such \; that \; L < M$; we will take all possible subsets of the set of the list of Mregressors containing L variables and will and will use every subset along with the core variables in separate regressions. This will require calculating $\binom{M}{K}$ regressions. The coefficient of core variables and their standard errors would be recorded every time. At the end, the WALS estimator is calculated as Bayesian average of all the coefficients of the core variables.

The WALS approach provides a way to handle very large number of candidate explanatory variable without losing the focus from variable(s) of interest. The WALS approach was introduced by Magnus and Durbin (1999) and was developed further by Magnus (2004), (2016).

The WALS estimators of β1 and β2 are, as the name suggests, weighted averages of the estimators of β1 and β2 over all models.

The WALS estimators of β1 and β2 are

$$\beta_1 = \sum_{i=1}^{2^{k_2}} \gamma_i \, \beta^{\wedge}{}_{1_{(i)}}$$

$$\beta_2 = \sum_{i=1}^{2^{k_2}} \gamma_i \, \beta^{\wedge}{}_{2_{(i)}}$$

Where the sum is taken over all 2^{k_2} different models m_i obtained by setting a subset of the β_2s equal to zero.

The key question, of course, is how to define the model weights $\gamma_{(i)}$. (Here and in what follows we refer to the $\gamma_{(i)}$ as "model" weights to distinguish them from the "WALS" weights to be defined later.) We shall impose the following restrictions.

Some Monte Carlo and empirical studies have shown that the WALS approach outperforms other methods of model selection and forecasting on the basis of their forecast performance. The computational details of WALS approach is given in the appendix.

Therefore, in order to get the estimate of effect of remittances on economic growth free from the effect of spurious regression we will apply WALS approach. Our core variables consist of the basic components of a production function i.e. Human Capital and Physical Capital, and on the other hand, the list of auxiliary variables is taken from Sala-i-Martin who used extreme bound analysis to find the determinants of growth.

3.2 Sample Design

A sample of 2000 migrants and 500 of return migrant's are interviewed for the current study. The remittance recipients are present in all districts of Pakistan and they could have different pattern of utilization of remittances. For instance, remitter from Urban Areas might be more interested in purchasing immovable property in their respective cities, whereas the respondents from rural areas might be more interested in social welfare programs. Therefore a representative sampling is necessary to get a representative picture of entire country. Therefore respondents would be selected from across the country.

The following sampling plan has been adopted during the survey.

a. From each province, 4 district are selected in a way that probability of selection of each district is proportional to the amount of remittances received by that district. Azad Kashmir and Islamabad Capital was considered as one province.
b. From the selected districts, two union councils are selected at random
c. From each union council, a list of household are obtained whom at least one member is working abroad. 100 households are selected at random. Therefore we had 100 respondents from each district, 400 respondents from each province and 2000 respondents in total for migrant's data.
d. The selected household are interviewed via structured questionnaire
e. There are 100 return migrants respondents have been taken from each province in Pakistan. Out of 500 respondents 400 from KPK, Sindh, Balochistan and Punjab while 100 from Azad Jammu and Kashmir, Gilgit/ Baltistan and Islamabad as one province.

There were 92.3% male while 7.7% female migrants respondents. Thus a total of 1836 male and 153 female respondents are interviewed. There were 11 respondents who did not disclosed their identity. Out of total of 500 return migrants there are (98.4%) 492 male and (1.6%) 8 are female are interviewed. The details about number of respondents from each district are given in the Table 3.1 below and table 3.2 for return migrants.

Table 3.1: Selection of sample from each district in Pakistan for migrants survey

Provinces	District Name	No of Households	Male Respondents	Female Respondents	Total Respondents
KPK	Peshawar	100	90	10	100
	Lower Dir	100	92	8	100
	Mansehra	100	91	9	100
	D.I Khan	100	95	5	100
Punjab	Gujrat	100	93	7	100
	Chakwal	100	92	8	100
	Rajan Pur	100	92	8	100
	Sialkot	94	85	9	94
Sindh	Karachi	100	95	5	100
	Nawabshah	100	93	7	100
	Sakkar	95	89	6	95
	Jacobabad	91	87	4	91
Balochistan	Queeta	100	89	11	100
	Lasbela	100	87	13	100
	Dera Bughti	100	98	2	100
	Gawadar	115	108	7	115
GB/ AJK/ Islamabad	GB	100	90	10	100
	AJK	194	186	8	194
	Islamabad	100	84	16	100

Table 3.2: Selection of sample from each province in Pakistan for return migrants survey

Provinces	District Name	No of Households	Male Respondents	Female Respondents	Total Respondents
KPK	Peshawar	100	99	1	100
Sindh	Karachi	100	97	3	100
Balochistan	Queeta	100	98	2	100
GB/ AJK/ Islamabad	GB	34	34	0	34
	AJK	33	32	1	32
	Islamabad	33	32	1	32

3.3 Sampling Units

Household was used as the ultimate sampling unit. Joint family system is a common practice in most of the districts of Pakistan.

3.4 Selection of Respondents

For survey in every district, a group of 3-4 enumerators with at least one female and headed by a Group Leader were assigned the task. From each district, the specified number of male and female respondents was selected. Since no listing of the districts was available, the interviewers were asked to select respondents from different areas of the districts. The number of respondents from each area was pre-specified by the Group Leader. The Group Leaders were responsible to ensure that no portion of districts is ignored while selecting the respondents for interview.

3.5 Questionnaire

Separate questionnaires were designed for migrants and return migrants respondents. The questionnaires included questions related to migrant's personal information, their family information, educational details of every individual in the family, housing, health facilities and conditions, environment, income, expenditure, and their saving and investment. The second questionnaire related to return migrants has been designed to know the questions about the years spent the return migrants in foreign, their salary, reason to leave job and what he/she advise the migrants. Before finalizing the questionnaire, a pilot survey was conducted to test the questionnaire and its relevance.

3.6 Quality Control

The enumerator's team for current survey consisted of MPhil/ PhD scholars has been trained and the selection of numerators were on the basis who having experience of interaction with communities. Enumerators were trained before the survey to handle the sources of bias including the response bias and non-response bias. The enumerators were trained to create a friendly environment before and during the interviews. At the end of each day, a discussion session was held between the enumerators and the team leaders to identify the complications and to come across the common solutions for any probable confusion. Enumerators were also asked to note the qualitative information regarding the site, community and the respondents.

3.7. Summarizing the Results

Since major part of the study is based on primary data collected through questionnaires, the results are summarized using simple descriptive tools such as graphs and cross tables. However, we also have analyzed the covariate of the income of remittances and for this purpose, we have used multiple linear regression model. Dummies such as provincial dummies are used to see the effect of provincial background on the income from remittance. Similarly, dummies are used to see the effect of educational level, gender and other qualitative variables on the remittance income.

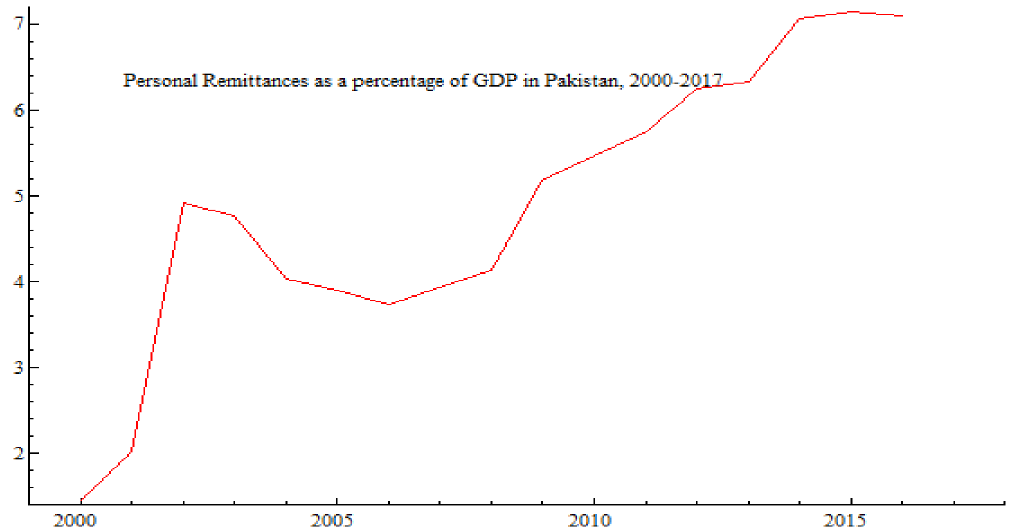
④

RELATIONSHIP BETWEEN REMITTANCES AND ECONOMIC GROWTH: WALS ANALYSIS

4.1 Remittances and Economic Growth

Remittances in Pakistan form a big share in the economy. Pakistan is 6th largest remittance recipient country in the world. With total receipts of $ 21.1 billion, by end of Financial Year 2019, the personal remittances as a percentage of GDP reached to about 8.8%. The following graph shows the ratio of personal remittances to GDP for Pakistan for the period 2000 onward.

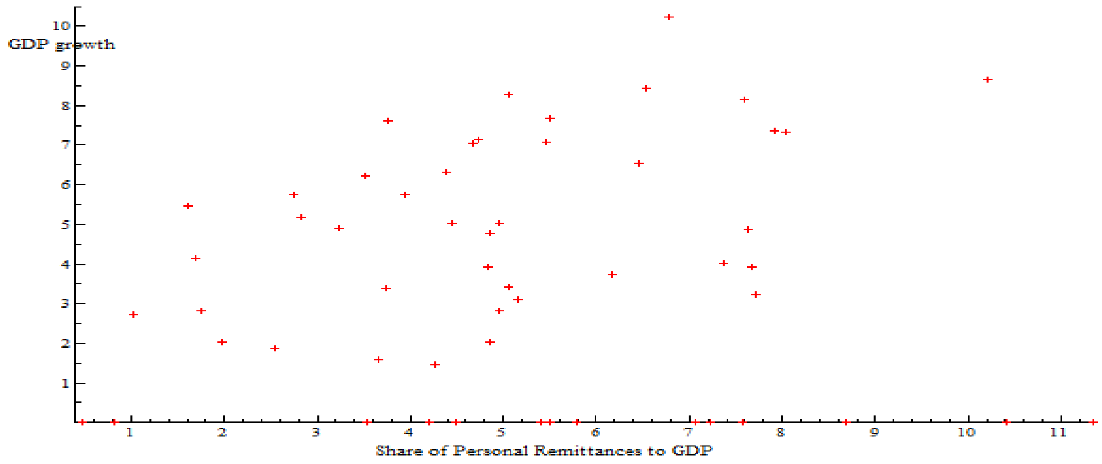
Figure 4.1: Personal Remittances as a percentage of GDP in Pakistan, 2000-17



The graph shows that the share of personal remittances to total GDP of Pakistan is continuously increasing, therefore its importance as a component of economy is also rising day by day. This is making a call for better planning to use the remittances. The present and previous governments of Pakistan have been focusing on the initiatives to increase the inflow of remittances with the schemes like Pakistan Remittances Initiative; however, no document is available showing what government plans to do with remittances.

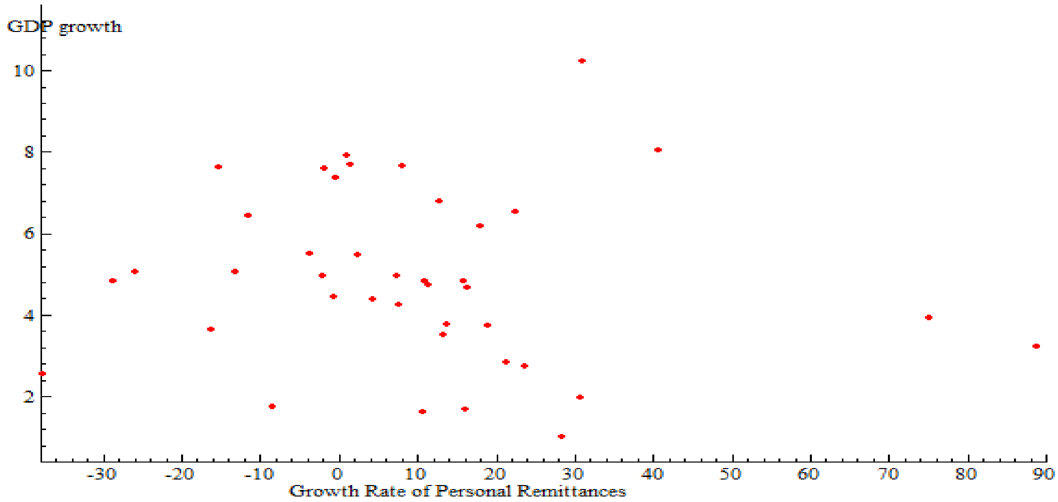
As discussed in the introduction and review of literature, several surveys show that the marginal propensity to save for the families of remitters is much higher than the non-recipients. These saving, transformed into investments, should stimulate the economy. However, the important and interesting questions arises, did remittances improve the economy? Is there any relationship between growth in remittances and the GDP growth? Let us look at some visual illustrations to find the answer to this question.

Figure 4.2: Relationship between GDP growth and Remittances in Pakistan



The graph shows relationship between the Share of Personal Remittance to GDP and GDP growth. The graph shows a week but positive relationship between two variables, which is statistically insignificant. However, another way to look at the effect of remittances is to look at relationship between growth rate of personal remittances and growth rate of GDP. The following graph shows the relationship between two variables.

Figure 4.3: Relationship between growth and Remittances



This graph shows even weaker relationship between growth rates for personal remittances and growth rate of overall GDP. The graph also indicates that there are the years with up to 88% rise in the personal remittances (2001-02), but the same years are not associated with a high GDP growth rate. This means prima facie there is no strong relationship between the remittances and GDP growth.

However, a careful investigation to model relationship between two variables needs a multivariate analysis, controlling the effects of confounding variable. The popular way to do this is to use multiple regression analysis, but unfortunately, the regression with time series data in general and the growth regressions in particular are among the challenging statistical inferences. As discussed in section 3.1, we are using WALS to see the effect of remittances on growth. The results of WALS analysis are given in coming section 4.2.

4.2 Role of Remittances on Economy of Pakistan

To find the effect of remittances on the economic growth, we are using WALS approach for the reason given in Section 3.1. The WALS analysis division of the variables into core and auxiliary. The core variables are taken to be the education expenditures, labor force participation rate and the remittances, whereas the auxiliary variables are taken from the study of Sala-i-Martin (1997). The results of estimation through WALS are summarized below.

$$Growth_t = f\begin{pmatrix} EE_t, LFPR_t, RemGDP, RemGrowth, MilExp, PopGrowth, UrbPop, \\ DomCred, Infl, TradeOpen, FertRate, LifeExp, , ExcRate, DebtSer. \end{pmatrix}$$

The variables are explained as follows:

EE_t: Expenditures on education as percentage of GDP

$LFPR_t$: Labor force participation rate

$RemGDP$:Remittance to GDP ratio

$RemGrowth$: Growth in the amount of Remittances, annual, percentage

$MilExp$: Military expenditures as a percentage of GDP

$PopGrowth$: Population Growth Rate

$UrbPop$: Urban population as percentage of total population

$DomCred$: Domestic Credit as a percentage of GDP

$Infl$:Inflation, annual percentage

$TradeOpen$: Trade openness, calculated as ratio of total trade to total GDP

$, FertRate$: Total Fertility Rate

$, LifeExp$: Life expectancy at birth

$ExcRate$: Exchange rate, official, nominal

$DebtSer$: Debt servicing, as a percentage of GDP

The results of WALS model are as follows

Tables 4.1 : Growth and Remittances Analysis using WALS

GDP growth	Coef.	Std. Err.	T	[1-Std. Err. Bands]	
_cons	-284.96	349.09	-0.82	-634.06	64.13
Expenditure Education	-.044	1.65	-0.03	-1.69	1.60
Labor Force Participation Rate	-.33	1.09	-0.31	-1.42	0.75
Remittance to GDP	-.32	0.59	-0.54	-0.92	0.27
Remittance Growth	-.79	1.33	-0.60	-2.12	0.53

		AUX			
GDP growth	**Coef.**	**Std. Err.**	**T**	**[1-Std. Err. Bands]**	
Military Expenditure	0.32	0.21	1.55	0.11	0.53
Urban Population	-4.58	13.20	-0.35	-17.79	8.61
Population Growth	-3.40	5.94	-0.57	-9.34	2.54
Domestic Credit	.060	0.30	0.20	-.23	0.36
Inflation	-.12	0.11	-1.13	-.23	-0.01
Trade Openness	8.51	15.25	0.56	-6.74	23.76
Fertility Rate	2.28	7.00	0.33	-4.71	9.28
Life Expectancy	7.15	11.76	0.61	-4.61	18.91
Exchange Rate	-.106	0.11	-0.91	-.22	0.01
Debt Service	.047	0.43	0.11	-.38	0.47

Our main focus in the current regression is the coefficient of ‘remittance to GDP ratio and rate of growth of remittances. Since remittance form a large proportion of GDP, one can expect significant coefficient of the remittance to GDP ratio and/or the rate of growth of remittances. However, the results of WLS estimation reveal that the two variables are insignificant. This means the growth of remittances have no significant effect to the growth of overall GDP. Similarly, many other variables also appear to be insignificant.

The findings of the WALS model support the view that the remittances are not an important determinant of economic growth. This is also consistent with the two graphs 4.2 and 4.3. The next important question arises as to what happens with the remittances that they are not accelerating the economic growth. In coming chapters we will try to answer this question.

5

FINDINGS OF SURVEY (MIGRANTS)

This chapter summarizes the finding of migrant survey. The chapter is organized as follows;

5.1. Sample of Migrant Survey

There were a total of 1989 respondents in our migrant survey. Out of these 1989 respondents containing 1836 male and 153 female respondents are respondents, which mean 92.3% male respondents and 7.7% female respondents. The geographic distribution of the respondents is given in Table 1.

Table 5.1: The Sample Selection for Migrant Survey

Provinces	District Name	No Households	Male Respondents	Female Respondents
KPK	Peshawar	100	90	10
	Lower Dir	100	92	8
	Mansehra	100	91	9
	D.I Khan	100	95	5
	Subtotal	**400**	**368**	**32**
Punjab	Gujrat	100	93	7
	Chakwal	100	92	8
	Rajan Pur	100	92	8
	Sialkot	94	85	9
	Subtotal	**394**	**362**	**32**

Sindh	Karachi	100	95	5
	Nawabshah	100	93	7
	Sakkar	95	89	6
	Jacobabad	91	87	4
	Subtotal	**386**	**364**	**22**
Baluchistan	Quetta	100	89	11
	Lasbela	100	87	13
	Dera Bughti	100	98	2
	Gawadar	115	108	7
	Subtotal	**415**	**382**	**33**
GB/ Islamabad	AJK/GB	100	90	10
	AJK	194	186	8
	Islamabad	100	84	16
	Subtotal	**394**	**360**	**34**
Grand Total		1989	1836	153

The Table indicates that there was roughly same number of respondents from each province with a dominants majority of male respondents who were heading the families of the remitters. The male to female ratio is also same for all political units.

5.2. Age Group Information of the Respondents

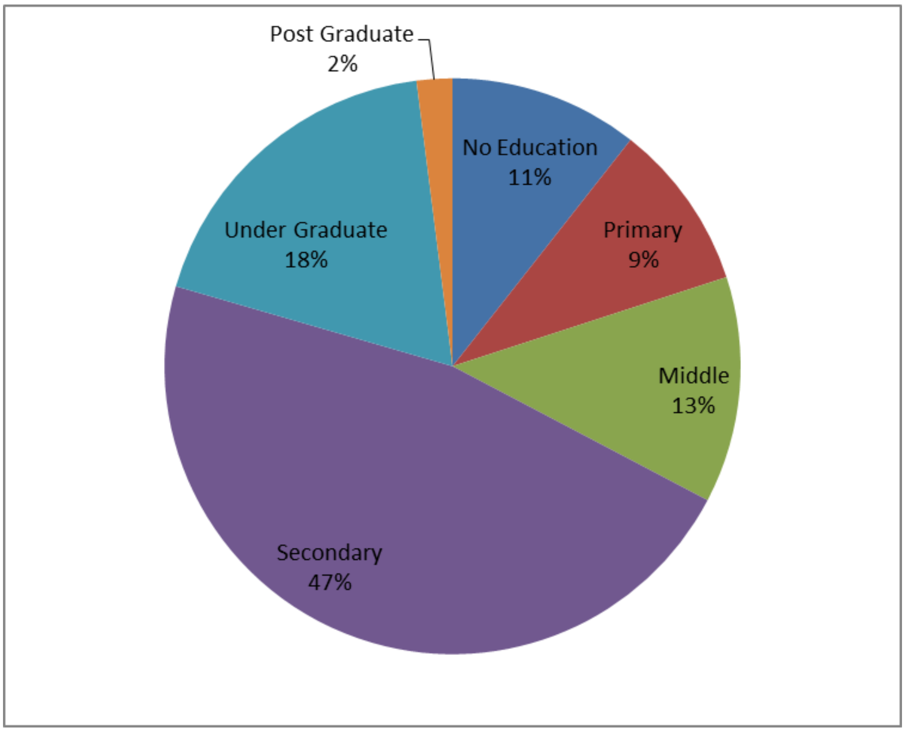
Table 5.2 summarizes the information regarding the age group of the respondents which says that largest proportion of respondents (39%) belong to age group 46 to 60. There were only few respondents with age less than 30 (6%). The graph indicates that largest proportion of the families had 2-3 children. The families having 4-5 children are 31% and 14% families have more than 5 children

Table 5.2 Age Group Information of Respondents

Age of Respondents		No of Children	
Less than 30	6%	**Less than 2**	15%
31 to 45	31%	**2 to 3**	40%
46 to 60	39%	**4 to 5**	31%
Above 60	24%	**Above 5**	14%

5.3 Education of the Respondents

Figure 5.1: Summarizes the information related to the education of the respondents.

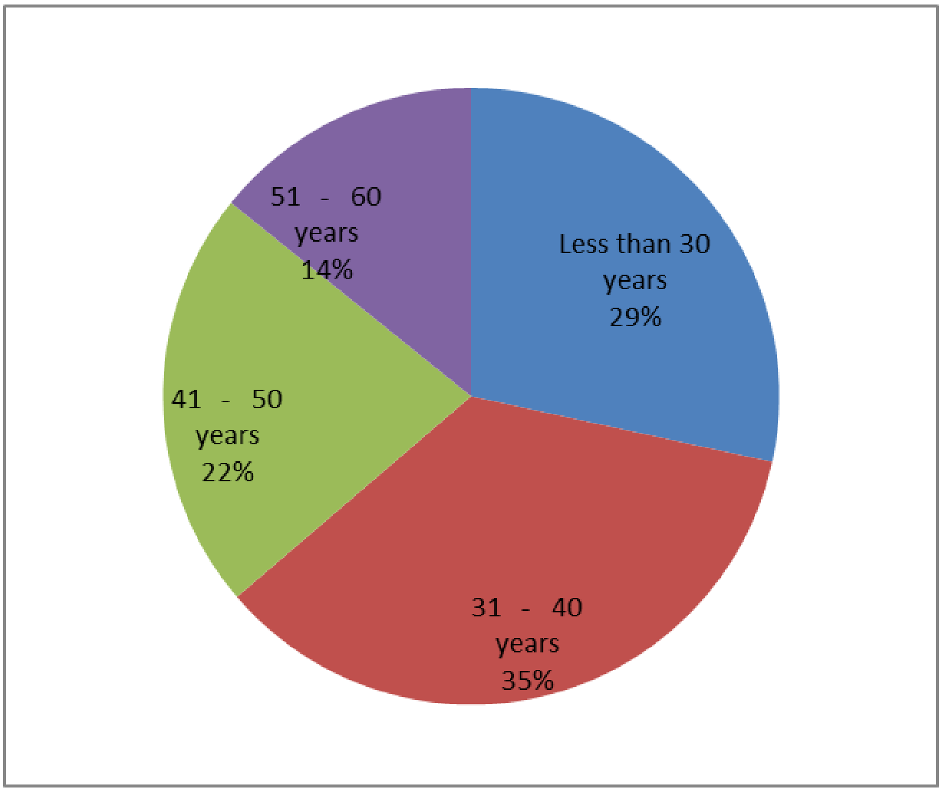


Regarding to education of the participants of the migrants families; 11% are with no education, 9% are with primary education (up to grade 5),13 % with middle level education (grade 6 to 8), 47% are with secondary level education (grade 9 to 12), 18% are under graduate (BA level degree with 14-16 years of schooling) and 2% post graduates (master degree with 17+ years of schooling). No one in the sample was with PhD level education.

5.4: Age Group of Remitters from selected sample size

The Fig 5.2 summarizes the age group of the remitter working abroad. The data reveals that maximum number of remitters belong to age group 31-40. There were no remitter in the sample above the age 60 and below age of 20.

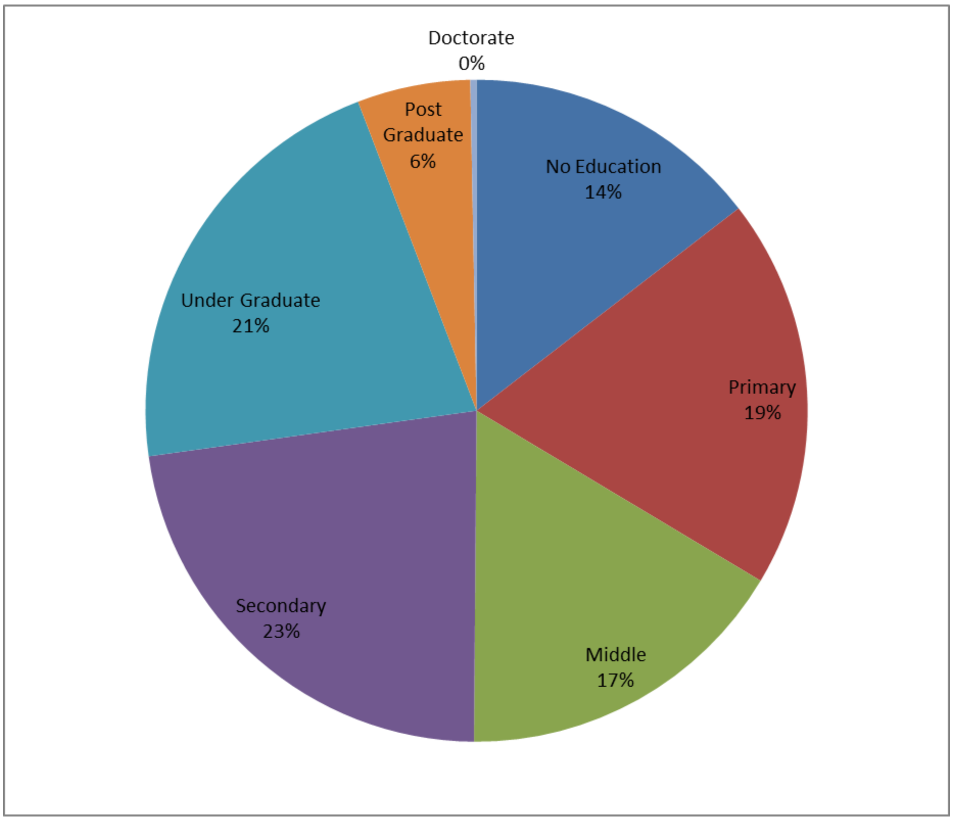
Figure 5.2: Age Group of Remitters from Selected Sample Size



The study shows that most of the remitters are from the age 31-40 i.e. 35%; 1% only above 60 years while there are very less migrants who are below age of 20 years.

5.5: Educational Level of Remitter

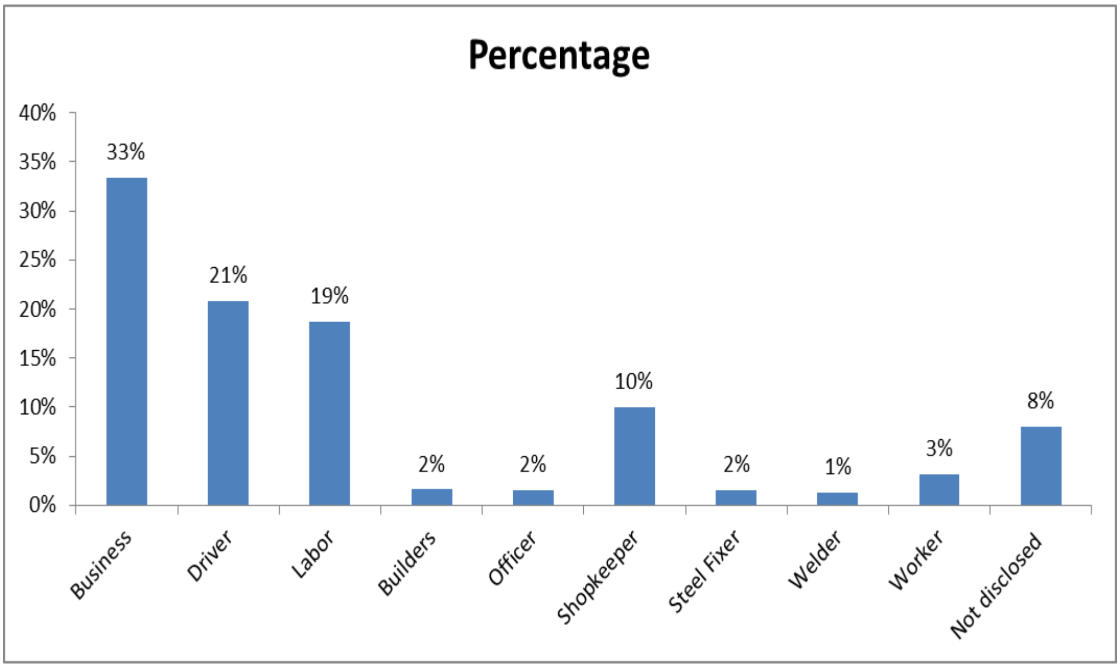
Figure 5.3: Summarize data regarding educational level of remitters working abroad



The data indicates somewhat better level of education in the remitters than the head of their families at home. Among the respondents, 21% people have a university degree and among the remitters 27% (21% undergraduate and 6% post graduate) have university level education. There were 14% of the remitters with no education at all and 23% remitters with secondary level education.

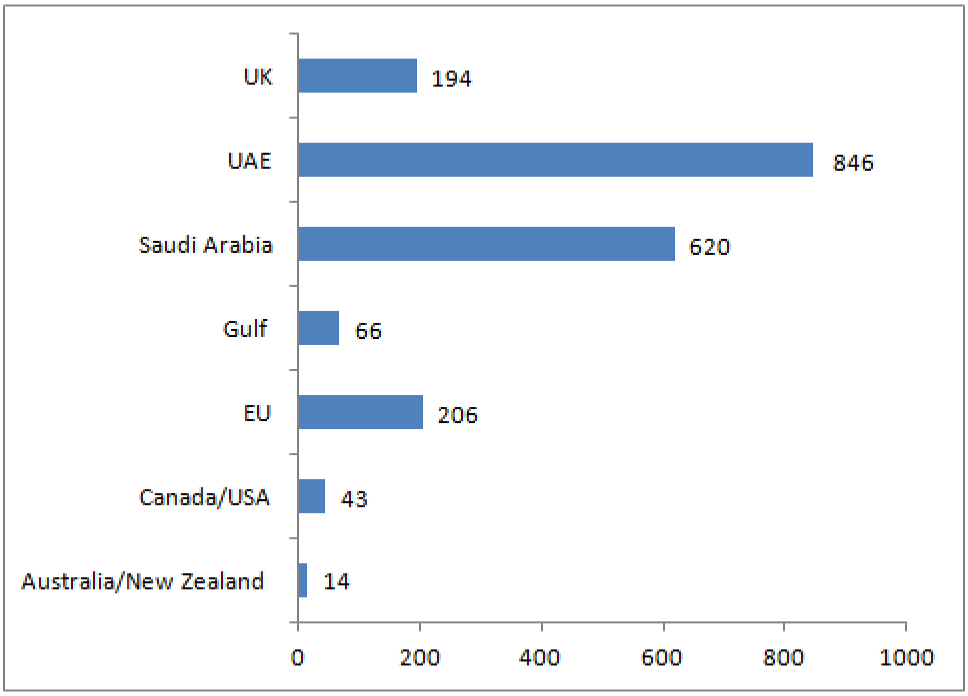
5.6: Profession Status of Remitter from the selected sample size

Figure 5.4: Profession status of Remitter from selected sample size



Mostly the remitters are doing business or engaged with various types of business. 21% are drivers, 19% labor and 10% are those who works at shops. 8% did not disclosed their professions.

Figure 5.5 Destinations / Host Country of the Remitters



This study shows the destination / host country of the remitters that mostly Pakistanis are living in UAE and kingdom of Saudi Arabia. Very few are living in USA, Europe, Australia and New Zealand etc.

5.7 Distribution of sample with respect to Province and Gender

Table 5.3 shows the distribution of the respondents with respect to gender of the respondent and province. The results indicate that the sample from four provinces have roughly same size, i.e. close to 400, whereas from Islamabad, Azad Jammu and Kashmir and Gilgit Baltistan, there are 100, 194 and 100 respondent. The percentage of female respondents from the entire sample is 8%, whereas this percentage is highest for Azad Kashmir with 19% female respondents and lowest for Baluchistan with no female respondent.

The data summarized here correspond to the household head of the remitter working abroad and the lowest percentage of respondent from Baluchistan indicate the culture of Baluchistan where there it is very less likely for the family to be the head of the household.

Table 5.3: Distribution of sample with respect to Province and Gender

	Gender		**Total**
	Male	**Female**	
KPK	360	40	400
	90%	10%	
Punjab	364	30	394
	92%	8%	
Sindh	364	22	386
	94%	6%	
Baluchistan	415	0	415
	100%	0%	
Islamabad	84	16	100
	84%	16%	
AJK	157	37	194
	81%	19%	
Gilgit	92	8	100
	92%	8%	
Total	1836	153	1989
	92%	8%	
Pearson Chi-Square	84.81		
P-value	0.000		

The Distribution of Sample with respect to Education and Province

Table 2 shows the distribution of Sample with respect to education and province. The data shows that in KPK, 7% of the respondents had no education, 3% of the respondent had only primary education, 8% of the respondents had middle level education, 53% of the respondents and secondary level education, 26% respondents have undergraduate level education and remaining 3% had post graduate level education. Similarly, the educational level-wise distribution of sample for all provinces is visible in the Table. It can be seen that the Baluchistan has highest percentage of respondents with no education, and Islamabad has highest percentage of respondents with educational level undergraduate or over which is 45%. These statistics correspond to pattern of overall level of education in the provinces, therefore, indicate the accuracy of the sample selection procedure.

Table 5.4: The Distribution of Sample with respect to Education of Respondent and Province

	No Education	**Primary**	**Middle**	**Secondary**	**Under Graduate**	**Post Graduate**	**Total**
KPK	26	13	31	208	103	11	392
	7%	3%	8%	53%	26%	3%	
Punjab	22	14	30	208	99	12	385
	6%	4%	8%	54%	26%	3%	
Sindh	51	68	82	160	19	0	380
	13%	18%	22%	42%	5%	0%	
Baluchistan	90	78	78	104	0	0	350
	26%	22%	22%	30%	0%	0%	
Islamabad	0	0	2	52	39	6	99
	0%	0%	2%	53%	39%	6%	
AJK	0	0	6	104	75	7	192
	0%	0%	3%	54%	39%	4%	
Gilgit Baltistan	12	5	12	51	16	2	98
	12%	5%	12%	52%	16%	2%	
Total	201	178	241	887	351	38	1896
	11%	9%	13%	47%	19%	2%	
Pearson Chi-Square	616.60						
P-value	0.000						

5.8: Relationship of Education of Remitter and Province

Table 5.4 shows the distribution of sample with respect to education of the remitter and province. The data shows that in KPK, 11% of the remitters have no education, 15% of the respondent had only primary education, 13% of the remitters had middle level education, 21% of the remitters had secondary level education, 31% are undergraduate, 9% have post graduate level education and finally 1% had a doctorate degree. Similarly, the educational level-wise distribution of sample for all provinces is visible in the Table. The Table shows that 51% of the remitters have only middle level or lesser education. The data shows that from Baluchistan and Sind, above 70% remitters have middle level or lower education. The remitter from AJK with middle level or lesser education are about 18%, which shows that the remitters from Baluchistan and Sind are less privileged in terms of education.

As we shall see letter, the people with higher literacy usually send higher amount of remittances, therefore, this indicate that the inflow of remittances can be enhanced by improving the educational level of the remitters.

Table 5.5: Distribution of Sample with respect to education of the remitter and province

	No Education	**Primary**	**Middle**	**Secondary**	**Under Graduate**	**Post Graduate**	**Doctorate**	
KPK	42	60	53	82	124	37	2	400
	11%	15%	13%	21%	31%	9%	1%	
Punjab	43	47	51	92	130	29	2	394
	11%	12%	13%	23%	33%	7%	1%	
Sindh	76	96	95	108	11	0	0	386
	20%	25%	25%	28%	3%	0%	0%	
Baluchistan	98	131	87	94	5	0	0	415
	24%	32%	21%	23%	1%	0%	0%	
Islamabad	4	6	6	21	50	12	1	100
	4%	6%	6%	21%	50%	12%	1%	
AJK	10	12	13	34	96	28	1	194
	5%	6%	7%	18%	49%	14%	1%	
Gilgit	16	27	24	20	9	4	0	100
	16%	27%	24%	20%	9%	4%	0%	
Total	289	379	329	451	425	110	6	1989
	15%	19%	17%	23%	21%	6%	0%	
Pearson Chi-Square	596.50							
P-value	0.000							

5.9: Relationship of Education of Remitter and Gender

Table 5.5 shows the distribution of Sample with respect to education of the remitter and gender. The data shows that the percentage of remitters with no education is 14% for male and 24% for female. The distribution of remitters with primary level education is 20% for male and 8%for female. Interestingly, the respondents having at least undergraduate level of education are 27% for both male and female. The table also shows that 6 remitters have a doctorate and all these respondents are male.

The Chi-Square test of association indicates that the association between gender and educational level is significant (with P-value 0.00), however, the difference in the percentages generally comes from middle and secondary level education. The percentage of male with graduation or higher is roughly same for male and female and similarly, the percentage of remitters with primary level education or lessor is also same.

Table 5.6: Distribution of Sample with respect to education of the remitter and gender

	No Education	Primary	Middle	Secondary	Under Graduate	Post Graduate	Doctorate	
Male	252	366	309	408	395	100	6	1836
	14%	20%	17%	22%	22%	5%	0%	
Female	37	13	20	43	30	10	0	153
	24%	8%	13%	28%	20%	7%	0%	
Overall	289	379	329	451	425	110	6	1989
	15%	19%	17%	23%	21%	6%	0%	
Chi-Square	24.73							
P-value	0.000							

5.10: The Income Category and Gender

Table 5.6 shows the distribution of Sample with respect to income category and gender. The Table shows that overall 9% of the remitters have income less than or equal to 50000, the female remitters in this income range are 6% and the male respondents in this income range are 9%. The percentage of remitters having 6 digits income is 54%

for male and 52% for female. The percentage of male respondents having more than half million income is 7% for male, but no female qualifies for this income group.

The Chi-Square test of association indicates that the association between gender and income category is significant (with P-value 0.005), however, the data indicates that the difference generally comes highest income categories. The percentage of male and female, who fall in the income categories ‘less than 50,000’ and ‘50001 to 100000’, are about the same. But the remitters who send above half million worth of remittances are only male.

Table 5.7: Distribution of Sample with respect to income category and gender

	less than 50000	**50001 to 100000**	**100001 to 200000**	**200001 to 500000**	**above 500000**	**Total**
Male	168	666	595	274	133	1836
	9%	36%	32%	15%	7%	
Female	9	65	55	24	0	153
	6%	42%	36%	16%	0%	
Total	177	731	650	298	133	1989
	9%	37%	33%	15%	7%	
Chi-Square	14.85					
P-value	0.005					

5.11: The Income Category of Remitters and Province

Table 5.7 shows the distribution of sample with respect to income category and province. The Table shows that among those who earn less than 50000 per month, the highest proportion belongs to Baluchistan which is 34%, and among those who belong to highest income category i.e. above 0.5 million, the highest proportion belongs to Punjab. Among the highest earners, only 6% are from Baluchistan

Only 3% remitters originated from Baluchistan earn more than 0.2 million, whereas 28% migrants from KPK, 26% from Punjab, 41% from Islamabad and 47%

from AJK have earning above 0.2 million. These findings are indicative of a strange fact; it is already known that Baluchistan is deprived in terms of income among the provinces of Pakistan and this study shows that so is the diaspora of Baluchistan.

The data shows a strange phenomenon. It is well known fact that the Baluhistan is the province with lowest average income, and so is the diaspora of Baluchistan. The people of Baluchistan in the high income categories have very small proportion and very high proportion in the high income categories.

The relationship between income and province is significant as indicated by the Pearson Chi-square statistics.

Table 5.8: Distribution of sample with respect to income category and province

	KPK	Punjab	Sindh	Baluchistan	Islamabad	AJK	Gilgit	Total
Less than 50000	31	29	38	60	7	9	3	177
	18%	16%	21%	34%	4%	5%	2%	
50001 to 100000	129	130	175	204	21	40	32	731
	18%	18%	24%	28%	3%	5%	4%	
100001 to 200000	126	130	130	138	31	55	40	650
	19%	20%	20%	21%	5%	8%	6%	
200001 to 500000	81	68	31	5	30	65	18	298
	27%	23%	10%	2%	10%	22%	6%	
above 500000	33	37	12	8	11	25	7	133
	25%	28%	9%	6%	8%	19%	5%	
Chi-Square	**252.88**							
P-value	0							

5.12: The Income Category of Remitters and Education

Table 5.8 shows the distribution of sample with respect to income category and Education. The Table shows that majority of people falling in lowest income category are those having primary to secondary level education. Contrary to the common perception, there are only 4% people in the lowest income category who have no education. Most of the illiterate remitters earn income between 50001 and 200000. No illiterate person earns above 0.5 million, indicating that the illiterate people belong to middle income profile. The undergraduate people form highest proportion of the high earners. The relationship between two variables is statistically significant with p-value 0.00

Table 5.9: Distribution of sample with respect to income category and Education

	No	Primary	Middle	Secondary	Under	Post	Doctorate	Total
less than	7	40	22	78	20	10	0	177
	4%	23%	12%	44%	11%	6%	0%	
50001 to	122	178	150	142	105	28	6	731
	17%	24%	21%	19%	14%	4%	1%	
100001 to	142	132	85	162	121	8	0	650
	22%	20%	13%	25%	19%	1%	0%	
200001 to	18	26	40	63	118	33	0	298
	6%	9%	13%	21%	40%	11%	0%	
above	0	3	32	6	61	31	0	133
	0%	2%	24%	5%	46%	23%	0%	
Chi-Square	252.88							
P-value	0							

5.12: The Income Category of Remitters and Age group

Table 5.9 shows the distribution of Sample with respect to income category and age groups. The Table shows that among those who have less than years of age, 30% earn less than 0.05 million and 61% earn less than 0.1 million (cumulative). Among the age group 45 to 60, 37% earn less than 0.1 million indicating 63% earning above 0.1

million. For the age group above 60, 48% earn above 0.1 million, indicating a quadratic relationship between age and earning. The relationship is statistically significant.

Table 5.10: Distribution of Sample with respect to income category and age groups

	Less than 50000	**50001 to 100000**	**100001 to 200000**	**200001 to 500000**	**above 500000**	**Total**
Less than 30	35	36	35	10	1	117
	30%	31%	30%	9%	1%	
31 to 45	69	224	185	94	36	608
	11%	37%	30%	15%	6%	
46 to 60	39	251	289	105	90	774
	5%	32%	37%	14%	12%	
above 60	32	215	136	89	6	478
	7%	45%	28%	19%	1%	
Chi-Square	252.88					
P-value	0.000					

5.13: Amount of Remittances with respect to Province

Table 5.10 summarizes the data on monthly average amount of remittances sent during last three months. The data shows that the average of remittances is highest for Gilgit Baltistan where the amount is about 78,000 per month. The amount of remittances is lowest for Baluchistan and Sind which sees consistent with income pattern of these provinces.

Table 5.11: Monthly average of the remittances sent during last three months with respect to destination

PROVINCE	Mean	Median	Std. Deviation
KPK	74	70	34
Punjab	73	69	33
Sindh	63	60	30
Baluchistan	64	58	37
Islamabad	75	73	31
AJK	74	71	30
Gilgit	78	71	35
Total	70	63	34

5.14: Amount of Remittances with respect to Country of Origin

Table 5.11 summarizes the data on monthly average amount of remittances sent during last three months with respect to country of origin. The data shows that the average amount of remittances is highest for Iceland and lowest for Germany. However, since the size of Pakistani diaspora in the Gulf region is largest, total amount of remittances flowing in through Gulf countries is largest. During financial year 2018-19, 44% of the remittance inflow into Pakistan was originated from Saudi Arabia and United Arab Emirates only.

Table 5.12: Amount of Remitters with respect to country of origin

Country of Origin	Mean	Median	Std. Deviation	Country of Origin	Mean	Median	Std. Deviation
Austria	87	87	12	**New Zealand**	76	77	4
Canada	55	53	18	**Norway**	66	66	22
France	80	75	31	**Oman**	105	117	44
Germany	53	45	27	**Saudi Arab**	58	55	25
Greece	106	117	16	**Spain**	96	76	39
Hungary	55	55	11	**UAE**	72	62	37
Iceland	110	110	11	**UK**	75	71	28
Italy	93	71	26	**Ukraine**	73	73	3

5.15: The Remittances to Income Ratio

Table 5.11 summarizes the information on remittance to income ratio of the remitters with respect to gender. . The Table shows that on average male remitters remit 65% of their earning whereas female remitters remit 52% of their earnings. The variation in the remittance to income ratio is higher for the female remitters. The difference is statistically significant as indicated by the F-statistics

Table 5.13: Remittance to income ratio of the remitters with respect to gender

	Mean	N	Std. Deviation
Male	0.6570	1645	0.43292
Female	0.5257	324	0.49270
Total	0.6354	1969	0.44585
F-stat	23.748		
P-value	0.000		

5.16: Relationship of Remittance to Income Ratio with Education, Province and Income Category

Table 5.12 shows the relationship of Remittance to Income Ratio with Education, Province and Income Categories. The Table shows that though the relationship between remittance to income ratio and education is statistically significant, there is not systematic pattern observable. The remittance to income ratio is lowest for people having post graduate education but it is highest for the people having PhD. Among the provinces, Baluchistan is having highest remittance to income ratio and the remitters send 76% of their income back to home. On the other hand, AJK has the minimum remittances to income ratio and the remitters send 48% of their earning back to home. Among the income categories, it is very clearly observable that the income and remittance to income ratio are inversely related. Higher the income, lower is the ratio of amount sent back home. Probably, this is also consistent with the pattern observable when we see the remittance to income ratio for provinces. The

Baluchistan is the province with lowest income and with lowest earning of remitters. The same province is having higher remittance to income ratio.

The ratio of remittance to income is greater than 100% for the people having income less than 50000 per month. This seems implausible because one cannot consume more than what he/she earns. However, this indicates one of the two possibilities; first, the respondents have mentioned only regular income of the remitters, but actually remitters earn more in form of overtime and other non-permanent incomes. Usually, the people belonging to this income category spend a lot to secure a foreign job and when they reach abroad, they have to send back the money to repay the debt or to meet the family obligations and for this purpose they involve in the earning activities other than their regular job. The second possibility is under-reporting by the respondents. The respondents may have under reported the income of remitters and/or they may not have complete information about the earning of their relatives earning abroad.

Table 5.12: Relationship of Remittance to Income Ratio with Education, Province and Income Categories

Remitters Education	Remittance To Income Ratio (mean)	Province	Remittance To Income Ratio (mean)	Income category	Remittance To Income Ratio (mean)
No Education	0.65	**KPK**	0.62	**less than 50000**	1.23
Primary	0.75	**Punjab**	0.61	**50001 to 100000**	0.82
Middle	0.64	**Sindh**	0.66	**100001 to 200000**	0.58
Secondary	0.70	**Baluchistan**	0.76	**200001 to 500000**	0.19
Under Graduate	0.51	**Islamabad**	0.52	**above 500000**	0.13
Post Graduate	0.40	**AJK**	0.48	**Total**	0.64
Doctorate	0.87	**Gilgit**	0.63		
Total	0.64	**Total**	0.64		
F-Stat	17.53	**F-Stat**	10.912	**F-Stat**	422.25
P-value	0.000	**P-value**	0.000	**P-value**	0.00

5.17: The Remittance to income ratio with respect to country of destination

Table 5.12 shows the Remittance to income ratio with respect to country of destination. The Table shows that the highest remittance to income ratio is for the remitters belonging to Middle Eastern countries. The remitters belonging to Oman remit about 99% of their income and those belonging to United Arab Emirates remit 78% of their income. On the other hand, the remitters from European countries have very small remittance to income ratio.

Table 5.15: Remittance to income ratio with respect to country of destination

Country of destination	N	Mean	Country of destination	N	Mean
Austria	15	0.2022	**New Zealand**	14	0.1789
Canada	43	0.2498	**Norway**	15	0.1534
France	18	0.4476	**Oman**	66	0.9979
Germany	16	0.1276	**Saudi Arab**	611	0.6776
Greece	9	0.2656	**Spain**	62	0.3687
Hungary	13	0.1386	**UAE**	835	0.7761
Iceland	14	0.2887	**UK**	194	0.2817
Italy	29	0.2399	**Ukraine**	15	0.1208

5.18: Relationship of Remittance with the country of stay of spouse of remitters

Table 5.13 summarizes the average of amount of monthly remittances, the remittance to income ratio and the country of stay of the spouse. The Table shows that the absolute amount of remittances is higher for those whose spouse is residing abroad with the migrant, but the remittance to income ratio is higher for those whose spouse is living in Pakistan. This apparent dilemma can have two explanations: First, only those with relatively higher income can afford to have their spouse with them abroad, second, if the spouse is also staying with the migrant, there is probability that both will be working and therefore able send larger amount back to their homes.

Table 5.16: Relationship of Remittance with the country of stay of spouse of remitters

	Average Amount of Remittances				Remittance to income ratio		
	N	Mean	Median	St Deviation	Mean	Median	St Deviation
Spouse Residing in Pakistan	1446	67.8	61.7	34.5	0.66	0.62	0.42
Spouse Residing in Foreign	523	74.9	73.3	30.6	0.57	0.51	0.51
Overall	1969	69.7	63.0	33.7	0.64	0.60	0.45

5.18 The determinants of Remittances, multivariate analysis

We have seen that the amount of remittances and the remittance to income ratio are correlated with numerous demographic characteristics. But what exactly determines the amount of remittances; this question cannot be answered by a bivariate analysis because in such an observational data, ignoring any of the possible covariate may introduce missing variable bias. Therefore, in order to have idea of the determinants of remittance, we are estimating multiple linear regression of the following type.

Model 1: $\boldsymbol{Rem} = \boldsymbol{f}(\boldsymbol{Prov}, \boldsymbol{CD}, \boldsymbol{EduRem}, \boldsymbol{StSp}, \boldsymbol{Gender}, \boldsymbol{LogIncome})$

Model 2: $\boldsymbol{RemToIcome} = \boldsymbol{f}(\boldsymbol{Prov}, \boldsymbol{CD}, \boldsymbol{EduRem}, \boldsymbol{StSp}, \boldsymbol{Gender}, \boldsymbol{LogIncome})$

Where the variables are as follows

Rem: Average of the amount of remittance sent during three months before the conduct of survey

$RemToIcome$: Ratio of average amount of remittance to the average income of the remitter

$Prov$: The province from which the remitter belongs, this is categorical variable, therefore represented by dummy. The following dummies are introduced.

$D(Pun)$: Dummy for Punjab taking value 1 for Punjab and 0 other wise

$D(Sind)$: Dummy for Sindh taking value 1 for Sindh and 0 other wise

$D(Bal)$: Dummy for Baluchistan taking value 1 for Baluchistan and 0 other wise

$D(Isl)$: Dummy for Islamabad taking value 1 for Islamabad and 0 other wise

$D(AJK)$: Dummy for AJK taking value 1 for AJK and 0 other wise

$D(GB)$: Dummy for Gilgit Baltistan taking value 1 for Gilgit Baltistan and 0 other wise

KPK was taken as base category, so there was no dummy for KPK

CD: Denotes country of destination, the country where the remitter works. The country was divided into few groups with different dummies with details mentioned below

D(EU): Dummy for European Union, taking value 1 if the remitter is currently working in any of the EU country and 0 otherwise

$D(AN)$: Dummy for Australia and New Zealand, taking value 1 if the remitter is currently working in Australia or New Zealand and 0 otherwise

$D(UC)$: Dummy for United States and Canada taking value 1 if the remitter is currently working in United States and Canada and 0 otherwise

All other countries were taken as base category and no dummy was introduced for them

$EduRem$: Education of remitter, this variable is also categorical and dummies were introduced as per following details:

$D(middle)$: Dummy for middle level of education, taking value 1 if the remitter has 6-8 years of schooling

$D(secondary)$: Dummy for secondary level of education, taking value 1 if the remitter has 9-12 years of schooling

$D(UG)$: Dummy for undergraduate level of education, taking value 1 if the remitter has 13-16 years of schooling

$D(PG)$: Dummy for post graduate level of education, taking value 1 if the remitter has 17-18 years of schooling

$D(middle)$: Dummy for Doctorate, taking value 1 if the remitter holds a PhD degree

The primary level and no education combined were taken as base category and no dummy was introduced.

$StSp$: Country of stay of spouse, this was a dummy variable taking value 1 if the spouse of remitter has stay with him/her in the country of current job

$Gender$: This was also a dummy variable taking value 1 for male and 0 for female

$LogIncome$: Log of the rupee denominated income of the remitters.

Therefore the two regression models take following form

Model 1: $\boldsymbol{Rem = \alpha Prov + \beta_1 D(Pun) + \beta_2 D(Sind) + \beta_3 D(Bal) + \beta_4 D(Isl) + \beta_5 D(AJK) + \beta_6 D(GB) + \beta_7 D(EU) + \beta_8 D(AN) + \beta_9 D(UC) + \beta_{10} D(middle) + \beta_{11} D(secondary) + \beta_{12} D(UG) + \beta_{13} D(PG) + \beta_{14} D(PhD) + \beta_{15} LogIncome + \beta_{16} StSp + \beta_{17} Gender} + \in$

Model 2: $\boldsymbol{RemToInome = \alpha Prov + \beta_1 D(Pun) + \beta_2 D(Sind) + \beta_3 D(Bal) + \beta_4 D(Isl) + \beta_5 D(AJK) + \beta_6 D(GB) + \beta_7 D(EU) + \beta_8 D(AN) + \beta_9 D(UC) + \beta_{10} D(middle) + \beta_{11} D(secondary) + \beta_{12} D(UG) + \beta_{13} D(PG) + \beta_{14} D(PhD) + \beta_{15} LogIncome + \beta_{16} StSp + \beta_{17} Gender} + \in$

The estimates of the two models are given in Table 15.

If we look at the model 1 i.e. the model for the log of remittances, we see that dummies for Punjab, Islamabad, AJK and Gilgit Baltistan are insignificant. This means, other things held constant, there is no difference between remitting behavior of the base category i.e. Khyber Pukhtoonkhawah, and Punjab, Islamabad, AJK and Gilgit Baltistan. The dummies for Sind and Baluchistan are significant with negative sign indicating that other things held constant, the remitters from Sindh and Baluchistan are sending lesser amount of remittances back to home. The dummy for Gulf countries carries positive sign but is insignificant indicating that other things held constant, the amount of remittances from Gulf and the base category are about same. The dummies for European Union, Australia and New Zealand and United States and Canada carry negative sign, indicating that other things held constant, the remitters from these destination send lesser amount of remittances. The dummy for United States and Canada is smallest indicating that other things held constant, the remitter from this region sends smallest amount of remittances. Probably, this is because of high cost of living in these countries which leaves lesser amount for sending back to home. The Gulf countries usually don't grant citizenship to people working there, therefore the remitter tend to send back maximum portion of their incomes. The log income carries positive sign and appears to be most important determinant of the remittances. The country of stay of spouse is insignificant in the regression and the education doesn't form a pattern. People with secondary level of education tend to send lesser amount of remittances whereas the PhD degree holders tend to submit highest amount of remittances if other things are held constant. Gender is having insignificant relationship with the amount of remittances.

Table 5.17: Determinants of Remittances and Determinants of Remittance to Income Ratio

	Model 1: Determinants of Remittances			Model 2: determinants of Remittance to Income Ratio		
	Coefficients	**t-statistics**	**P-value**	**Coefficients**	**T-statistics**	**P-value**
(Constant)	3.43	30.79	0.00	6.12	38.82	0.00
$\boldsymbol{D(Punjab)}$	-0.01	-0.83	0.40	-0.03	-1.39	0.16
$\boldsymbol{D(Sind)}$	-0.04	-2.58	0.01	-0.08	-3.47	0.00
$\boldsymbol{D(Baluchista}$	-0.04	-2.19	0.03	-0.06	-2.63	0.01
$\boldsymbol{D(Islamabad}$	0.00	0.19	0.85	0.00	-0.07	0.94
$\boldsymbol{D(AJK)}$	0.00	-0.11	0.91	0.00	-0.16	0.87
$\boldsymbol{D(GB)}$	0.02	1.00	0.32	0.03	0.76	0.45
$\boldsymbol{D(Gulf)}$	0.05	1.62	0.10	0.83	19.31	0.00
$\boldsymbol{D(EU)}$	-0.06	-3.41	0.00	0.19	6.92	0.00
$\boldsymbol{D(AN)}$	-0.04	-0.64	0.52	0.21	2.39	0.02
$\boldsymbol{D(UC)}$	-0.21	-5.70	0.00	-0.01	-0.16	0.87
$\boldsymbol{StSp}$	0.01	0.79	0.43	0.02	1.05	0.29
$\boldsymbol{LogIncome}$	0.28	12.77	0.00	-1.08	-34.94	0.00
$\boldsymbol{D(middle)}$	0.01	0.40	0.69	-0.01	-0.24	0.81
$\boldsymbol{D(secondary}$	-0.06	-4.21	0.00	-0.05	-2.78	0.01
$\boldsymbol{D(UG)}$	0.02	0.99	0.32	0.00	-0.16	0.87
$\boldsymbol{D(PG)}$	-0.05	-2.11	0.03	-0.13	-3.65	0.00
$\boldsymbol{D(PhD)}$	0.23	2.46	0.01	-0.06	-0.46	0.65
$\boldsymbol{D(Gender)}$	-0.03	-1.85	0.06	0.03	1.25	0.21
R-Square	0.725			0.414		
F-stat	120.15			22.399		
P-value	0.000			0.000		

On the other hand, if we look at the covariates remittance to income ratio, Baluchistan and Sind appear to send lesser amount of remittances when other things are held constant. The remitters from Gulf send highest proportion of their income. The relationship between income and the income to remittance ratio is negative and highly significant indicating that the people with higher incomes send lesser proportion of their incomes back to home. The country of stay of the spouse is insignificant and the higher education appears to be negatively correlated with the remittance to income ratio.

5.19: Pattern of utilization of Remittances

Though it was very clearly mentioned in the questionnaire that the survey results are purely for academic purposes, yet many of our respondents did not respond to the question related to the utilization of the amount they received, owing to the news related to tax reforms. But among those who responded (approximately 75%), the pattern for utilization of remittances is discussed as under.

There is a systematic difference between the migrants who have chosen Middle East for their work location and the migrants choosing America and Europe. The Middle Eastern countries don't provide the citizenship to the workers working there; therefore the migrants tend to build property back in Pakistan as their long term destination. On the other hand, the people migrating to Europe or United States can choose to have citizenship of the host countries. Therefore, this difference may be observable in the consumption. Based on this perception, the analysis of utilization of remittances was performed separately for Middle East and other countries. The results are summarized in

Table 5.1: Pattern of Utilization of Remittances

	Education	**Health**	**Food**	**House Rent**	**Insurance**	**Transport**	**Relatives**	**Utility Bills**	**Donations**	**Property purchased**	**Gold/ Silver purchased**
Total	3%	1%	5%	0.3%	0.1%	2%	1%	3%	1%	80%	3%
Middle East	3%	1%	5%	0.2%	0.1%	2.2%	0.5%	3%	0.4%	83%	2%
Others	4%	2%	7%	0.2%	0.1%	3%	1%	3%	0.8%	78%	1.2%

5.20: Pattern of utilization of remittances by the families of remitters

Table shows that the property purchase is the single most popular way of consuming remittances followed by food expenditures and the results remain same for the remitters from Middle East and for other countries. The expenditures on the property constitute approximately 80% of the total expenditures which indicate very huge concentration in the property related expenditures.

The next important question was, having found that the migrants do invest in real estate, what kind of property is popular among the migrants. This question is important because if the agricultural property is purchased, that would lead to employment generating opportunities. The following is details of the property purchased by the migrants in their homeland.

Further results shows that the migrants to the destinations other than middle east invest very heavily in the plots. On the other hand, the migrants to the middle east have sizable investment in the agricultural property as well.

Table 5.19. Pattern of Utilization of Remittances (Families)

	Middle East		Other		Overall	
Property Type	**Value**	**Percentage**	**Value**	**Percentage**	**Value**	**Percentage**
Agriculture Land	140.82	38%	43.7	10%	197.02	20%
Non Agriculture Land(Plots)	79.7	21%	189.3	45%	366.4	37%
Residential Building	53.6	14%	183.98	43%	305.58	31%
Commercial Building	98	26%	9	2%	123	12%

The table above shows respondents who have replied to our question related to the utilization of remittances, they have invested about Rs 1 billion in the business of property. Among these investments, 37% of investment goes in the sale and purchase of plots. The investment in plots involves just transfer of entitlement without any real economic activity, especially the job providing activity. 31% of the investment goes to residential property. This could be a house for the remitters own residence and/or for earning rent from the property. Only 10% of the investment goes to the agriculture which can be expected to be labor intensive business.

6

FINDINGS OF SURVEY (RETURN MIGRANTS)

6.1: Selected Sample Size Geoghraphical Location

The sample size for the survey of return migrants was 500, of which exactly 100 respondents were selected from each of four provinces and 100 respondents from Islamabad, Gilgit Baltistan and Azad Kashmir. The gender and province-wise distribution of the sample of return migrants is as given in Table 6.1.

Table 6.1 Selected Sample Size – Geographic Location

	Male	Female	Total
AJK	37	0	37
Gilgit Baltistan	30	0	30
Islamabad	29	4	33
KPK	100	0	100
Punjab	96	4	100
Sindh	100	0	100
Baluchistan	100	0	100

The Table 6.1 indicates that there is clear majority of the male respondents in the sample, and in a total sample of 400 respondents, only 8 respondents were female. The return migrants have return to homeland after spending sufficient time in foreign countries and as you go into the past, the proportion of female who can manage to go abroad and work their becomes smaller. Therefore, our sample can get a small share of the female respondents.

6.2: Educational Level of Respondents

Table 6.2 summarizes the information regarding the educational level of the respondents. The Table indicates that the the proportion of those who have no or primary education combined is 5%, and we have seen in the migrant survey that the percentage of remitters having no education was relatively much higher. The migrant survey indicates that there were 14% migrants with no education and 19% with primary education. The return migrants with university level education are about half of the entire sample. This is an indication that the people with higher education have higher propensity to come back. Regarding to education of the participants of the respondents; 4% were with no education, 1% are with primary education (up to grade 5),6% with middle level education (grade 6 to 8), 40% are with secondary level education (grade 9 to 12), 42% are under graduate (BA level degree with 14-16 years of schooling), 2% post graduates (master degree with 17+ years of schooling) and 4 person having PhD level education (counting to 0.8% of the sample).

Table 6.2 Education Level of Respondents

Level	Count	Percentage
No Education	22	4%
Primary	6	1%
Middle	29	6%
Secondary	198	40%
Undergraduate	211	42%
Postgraduate	30	6%
Doctorate	4	1%

From where the return migrants returned

Table 6.3: Countries / States from where the return migrants

Country	Count	Percentage
Australia /New Zealand	9	2%
European Union	119	24%
Far East	106	21%
Gulf	181	36%
United States /Canada	49	10%
Other	36	7%

The information given in Table 6.3 reveals that the largest portion of the return migrants have came back from the gulf region, which is 36% of the total return migrants. But this is of no surprise because the largest portion of the Pakistan diaspora also lives in the Gulf States, in particular in Saudi Arabia and United Arab Emirates. In our migrant survey we had 74% migrants settled in the Gulf States and in that sense, the ratio of return migrants to total migrants is smaller for the Gulf States. Our sample had 24% return migrants from the European Union countries and 21% from Far Eastern countries including Malaysia and Philippine.

6.4: Age of Return Migrants and Time spent in Foreign

Table 6.4 summarizes information regarding the age of return migrants and the duration of their stay in foreign.

Table 6.4 Age of Return Migrants and Time spent in Foreign

Age Group2			**Time Period**		
	Count	**Percentage**		**Count**	**Percentage**
Less than 30	45	9%	Up to 5	227	45%
31 to 40	152	30%	6 to 10	167	33%
41 to 50	208	42%	11 to 15	73	15%
Above 51	83	17%	above 15	30	6%

The above table reveals that there are many young people (9% + 30%) who are under age 40 and have come back from their foreign jobs. This means age is not the only determinant of the return migration. There are 17% of the return migrants who returned back from their foreign jobs. Major portion of the migrants came back in a period of less than 5 years.

6.5: Reason of Return

The Table 6.5 summarizes the information regarding the reason of the return of the respondents. The data indicates that major reasons of return are family issue, retirement from job, medical problem, loss in business and age factor. The religious intolerance and change in behavior of people are also among the reasons but there are small number of respondents who stated these as reason for their return.

Table 6.5: Reason of Return Migrants

	Frequency	**Percent**
Education of children	5	1%
Retirement from foreign job	104	21%
Age factor	41	8%
Change in behavior of people in country of destination	18	4%
Loss in business	79	16%
Religious intolerance	6	1%
Medical problem	88	18%
Family issue	159	32%

The respondents were being asked about their date of return after quitting their foreign job and the information is summarized in Table . The Table reveals that maximum portion of respondents in our sample came back during 2012-2017, with 33% returning during 2012-14 and 47% returning 2015-17. About 8% respondents came back more recently.

Table 6.6: Return Migrants and Years in which returned to Homeland

	Frequency	Percent
Before 2011	60	12%
2012 to 2014	163	33%
2015 to 2017	235	47%
2018 onward	42	8%

The respondents were being asked about their current business in the homeland and 25% of them replied that they are busy in some salaried job in the country whereas 56% said that they are doing their own business. Remaining 20% were unemployed.

Table 6.7 summarizes the amount of saving migrants had when she/she came back. The table reveals that about 41% of respondents had less than 0.4 million saving when they returned home. There were about 16% respondents who had saving more than 1.2 million when they come back.

Table 6.7: Return Migrants Savings

	Frequency	Percent
Less than 100k	117	23%
100k to 400k	93	19%
400k to 800k	108	22%
800k to 1200k	63	13%
above 1200 k	82	16%
Not declared	37	7%

The Table 6.8 indicates that majority of return migrants do their own business and therefore become productive part of the society, whereas a significant part of the return migrants finds it difficult to have some economic activity. An insurance scheme which an provide them enough money to start business when they come back home an help them to be productive after they come back from their foreign jobs.

Table 6.8: Economic Activity of Return Migrants

	Frequency	**Percent**
Salaried job	124	25%
Business	278	56%
Unemployed	98	20%
Total	500	100%

Table 6.9 summarizes information on relation between provincial background and current profession. The table reveals that the return migrants from KPK have the highest aptitude to start their business when they come back. There are just 8% people from KPK who are unemployed and this proportion is higher than 20% for all other provinces. This is probably indicative of the aptitude of the people from KPK who prefer doing business. The unemployment among the return migrants is highest in Baluchistan. This is indicative of two things; first, the opportunities for the salaried jobs are very small in Baluchistan. Second, we have seen in the results of our migrants survey that the people of Baluchistan have smallest earning in abroad, and upon their return, they don’t have enough resources to start their own business.

Table 6.9: Provincial Background and Current Profession – Return Migrants

	Salaried job	Business	unemployed	Total
KPK	9	83	8	100
Punjab	27	52	21	100
Sindh	22	57	21	100
ISB AJK GB	33	47	20	100
Baluchistan	33	39	28	100
	124	278	98	

The relationship of saving with the current business is summarized in Table 6.10. The Table indicates that about 59% of those who had saved 0.1 to 0.4 million have opted to start their own business and among those who have saving above 1.2 million, the percentage of those who opted a business is also same. Similarly, the proportion of those who opt to have a salaried job is almost same between for different levels of saving. Therefore, the Table indicates there is no strong relationship between saving and business aptitude.

This fact looks somewhat strange, one would expect higher saving to be associated with higher probability of doing business but data is not supporting this fact. This is probably because people who have higher savings invest in real estate. The investment in real estate is usually not mentioned as business, although the motive behind such investment is always the resale and acquiring profit.

Table 6.10: Relationship of Saving and Current Business of Return Migrants

	S3alaried Job	Business	Unemployed	Total
Less than 0.1 million	29	59	29	117
	25%	50%	25%	
0.1 to 0.4 million	25	55	13	93
	27%	59%	14%	
0.4 to 0.8 million	27	62	19	108
	25%	57%	18%	
0.8 to 1.2 million	12	33	18	63
	19%	52%	29%	
Above 1.2 million	18	48	16	82
	22%	59%	20%	463

The respondents were being asked to give their messages for their colleagues who are working abroad and intend to come back to Pakistan. In reply to this question, 67% of the respondents advised not to quit their jobs in the foreign. This means, the return migrants feel that there are better job opportunities in the foreign than from the homeland. About 10% of the respondents said that if anybody wants to come back, he/she should do the planning in advanced so that he/she doesn't find a problem at their return. About 13% of the respondents preferred not to reply to this question.

Table 6.11: Advise of Return Migrants to Migrants

	Frequency	Percent
Business	21	4%
Don't quit	334	67%
Invest in Pakistan	31	6%
Pakistan is great	3	1%
Plan before leaving	48	10%
NR	63	13%

We have a question from the return migrants that would they like to send their children to foreign for jobs. In reply to this question, 68% of the respondents said that they would like their children to work abroad and remaining 32% did not agree to send their children abroad.

Table 6.12: Will Return Migrants like to send their children abroad?

Would you like to send your children overseas in future		
No	158	32%
Yes	342	68%

We have seen that maximum number of return migrants have advised their fellow Pakistani workers working abroad not to quit their jobs. Yet, there were respondents who opt other replies to respond to this question. How the response to this question relates to their demographic characteristics, to determine this, we cross tabulated the response of return migrants with their provincial background and the results are summarized in Table 6.13

The table 6.13 indicates that the proportion of respondents who advice don't quit' is higher for KPK and Baluchistan.

Table 6.13: Provincial – wise advise of Return Migrants to Migrants

	Business	**Don't quit**	**Invest in Pakistan**	**No Reply**	**Pakistan is great**	**Plan before leaving**	
KPK	0	76	0	24	0	0	100
Punjab	2	56	9	17	2	14	100
Sindh	1	64	8	16	1	10	100
ISB AJK GB	13	61	9	4	0	13	100
Baluchistan	5	77	5	2	0	11	100
Total	21	334	31	63	3	48	500

7

POLICY RECOMMENDATIONS: INITIATIVES FOR REMITTERS AND REMITTANCES

7.1: Conclusion

Remittances form a very respectable size in the economy of Pakistan, and they constitute about 8.8% of the GDP. These remittances play extremely important in management of Pakistan economy, mainly by contributing to the management of current account balance. For a long period of the history, Pakistan has been facing large trade deficit and the remittances have been used to bring the current account at balance. Therefore, the role of remittances is very crucial for the external balances and therefore for the economy as a whole. However, when remittances reach the country through formal channels, the banks keep the foreign currency with them and pay rupee in exchange of the foreign currency. The rupee denominated value of these remittances becomes 3.5 trillion which comes into the pockets of families of remitters residing in Pakistan. Some of the earlier studies on dynamics of remittances show that the marginal propensity to save for the remitters is much higher compared to the overall propensity to save. Supposing marginal propensity to save to be only 20%, the amount of saving should be sufficient to finance millions of jobs. But no job related activities are observable.

While analyzing the contribution of remittances to the overall economic growth, several important questions arise. The first question that arises is; how remittances contribute to the economic growth? A model was estimated using WALS approach which shows that the huge surge in remittances didn't affect the pace of growth of economy. The second question that arises is; what is happening to the remittances that they don’t contribute to economy? Extensive Survey was carried out in selected cities of all four provinces, Azad Kashmir, Islamabad Capital territory and Gilgit Baltistan to find the answer to this question. The findings reveal that largest share of the investable part of remittances goes into real estate, especially to the sale and purchase of plots, which is extremely capital intensive business and one doesn’t contribute to the employment generation and any other economic benefit.

The next important question was to recommend the measures for enhancing the flow of remittances through formal channels and to recommend measures for welfare of remittances. A proposal has been prepared as a reply to this question which says that the State Bank of Pakistan should subsidise the amount of remittances received through formal channels and should use this study for health and life insurance of remitters and for the job security program for the remitters and his/her heirs. This proposal is discussed in details in the section ‘initiatives for remitters’.

The last and most important question was; how to utilize the remittances in better way. We have found from the data we collected that the major chunk of investable remittances goes into real estate and in particular, business of plots. This is extremely capital intensive business and we have to replace it with some labor intensive business. We argue that the investable part of remittances can be invested in the mega-development projects using bonds issued in the name of projects. The investors may be paid return when the project becomes mature. We argue that such an investment must be protected through proper legislation. The details of this proposal are given in section 7.2

7.2. Initiatives for Remitters

It is understandable that the flow of remittances through formal channels can be increased if the SBP pays the price of foreign currency higher than market prices. For example if market price of dollar is 160 rupees, but SBP and the scheduled banks pay 165 rupees for a dollar, everyone will try to send the remittances through formal channels. However, this solution is not practicable because the price of dollar may appreciate which has several other consequences. People can purchase the dollar from domestic market and send them back from foreign to exploit the difference.

We propose that in order to increase the formal inflow, SBP should subsidise the formal inflow, however, the subsidy should not be directly incashable. Instead of this, the subsidy is paid following way:

- One part of the subsidy is deposited to the premium for health and life insurance of the remitter and his/her family.
- The remaining part of the subsidy is deposited to a welfare fund for remitter. The welfare fund is to be invested in some profitable business. The amount deposited to the fund along with the profit is payable to the remitter when he/she quits overseas job, or when he/she intends to finance the business of any of his heirs.

For example, if someone is sending $100, the sum equal to market price of this $100 is directly paid to the family of remitter sitting in Pakistan. This amount can be used by the families of remitters as per their convenience. In addition, a 3% subsidy is allocated for the remitters. One part of this subsidy goes into the health and life insurance of the remitter and his family. The remaining part of the subsidy goes to 'welfare fund' which is invested in some profitable business e.g. mutual funds. The profit on this investment is re-invested until the remitter claims its withdrawal.

The remitter may be allowed to withdraw their amount from the welfare fund in any of two situations:

(a) The remitter quits his/her overseas job and wants to come back in the homeland. The welfare fund will help him establish his/her own business and there will be no burden of unemployment on the economy. The person coming back will not create any burden on the stock of unemployed people. On contrary, he/she will be in the position to start a business and hire further employees from the existing stock of unemployed people.

(b) Someone from the heirs of remitters wants to initiate a business in Pakistan and the remitter wants to support him/her.

We have seen in the Chapter 6 that the major reasons for the return of remitters to homeland include retirement of the worker, medical problems, family issues and loss in business. Suppose the remitter comes back due to age factor/retirement, he/she will want to help his heirs to start business. If there is some amount in the welfare fund on account of remitter, this will be helpful for the remitter. The ‘family issue’ is the most common cause for the return of remitter. The family issues mainly include health of the parents/spouse and the job of children. The existence of health insurance for the family of remitters will help cater the health problems of the family, and the welfare fund will help proving employability to the children of the remitters.

Beside the advantages mentioned above, there could be many other advantages in this kind of subsidy provided to the remitters. Some of these advantages are mentioned below:

(a) The subsidy scheme will serve as goodwill gesture from the government for the remitters and their families. Such a subsidy will give a message that the government and the public of Pakistan recognize the efforts of remitters and have interest in the welfare of remitters. This gesture will enhance the commitment of the remitters to their homeland and will be a step forward to create greater harmony in the society.

(b) Most of the remitters belong to low income groups, and they face a lot of difficulty due to health care of themselves and their families while they are working abroad. As shown in chapter 6, many remitters had to quit their job due 'family issues' which means the health issues of their family and parents. The provision of health insurance for the remitters and their families will provide them a peace of mind so that they can devote their energies for the jobs. Therefore, this will insure sustainability of the inflow of remittances.

(c) This kind of subsidy is very unlikely to cause the depreciation of currency.

(d) The results presented in Chapter 6 predict that the remitters face difficulties in starting their business when they return home. The remitter welfare fund will create ease for them in establishing business when they come back.

(e) Any business initiated by remitters would help in reducing the burden of unemployment from the society.

(f) The business created through remitter welfare fund would add to the documented economy of the country and would increase the tax base for future.

(g) The subsidy would serve as a big attraction for the remitters to remit through formal channel.

(h) The increase in flow of remittances may help in better exchange rate management.

7.3: Initiatives for better utilization of remittances

The rapid rise in remittances in the world is relatively new phenomenon and to the best of our knowledge, no work has been done on how to utilize the remittances for achievement of desirable national goals such as development projects. There are few studies investigating the relation between remittances and economic progress, and these studies emphasis the improvement of institutional quality for the better utilization of the remittance, however, what specific institutions are required and what should be operational strategy, this is generally not found in the existing literature. There is only one study of Rehman (2017) which proposes some measures for diverting the remittances to the development projects. The following section proposes a strategy which can be used for starting point of the debate on ‘How to utilize the remitters in a better way’.

7.3.1. Current use of Remittances

As we have seen in Chapter 5, the major part of remittances is used in the business of real estate, especially in the sale and purchase of plots. The real estate business, when focused on the sale and purchase of plots only, is extremely capital intensive and creates very small number of job opportunities. Millions of rupees invested in a plot will not create any longer term job opportunities except some earning for the property dealers. Given the huge stock of unemployed youth, there is need to focus on the labor intensive business.

Despite the fact that there are many industries which demand small amount of capital for producing a job, it is hard to ensure a safe return on investment without proper planning. However, investment in energy sector has very high chance of being safe and profitable. Provision of clean and green energy is most serious challenge for the country. There has been huge shortage in the supply of energy compared to its demand in recent past. The growing population and expected growth in economic activity leads to the anticipation that the supply of energy will again become short of demand in near future. Therefore the energy project is very likely to have high market value in future. Furthermore energy is lifeblood of the economic activities and will enhance job opportunities in all sectors of economy. Therefore energy sector could be targeted as alternative investment opportunity for the remitters.

7.3.2: Alternative Investment Model

There are three essential component of a business plan:

a. Labor
b. Capital
c. Management / Supervision

The discussion on availability of the three factors is as under

a. Labor

At present, Pakistan is enjoying the demographic window which means the working age population is high compared to many other countries of the world. At present, the age group 15-24 forms about 19.5% of the population of Pakistan, and this translates to about 42 million individuals. These people will enter the job market in coming 10 years. The proportion of people in age group 25-29 is about 9% which makes about 18 million individuals. A small proportion of this age group is currently employed and remaining are looking for jobs. Therefore, provision of workforce is not a problem for any investment.

b. Capital

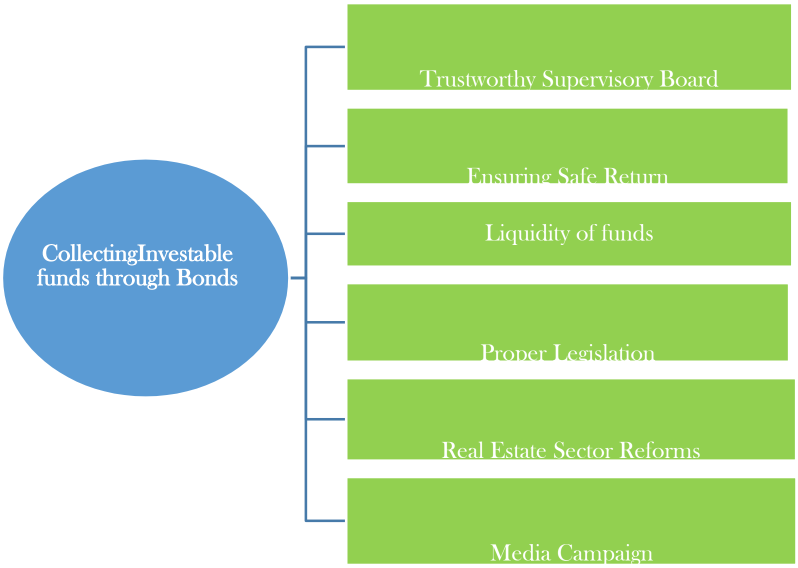
The capital for financing the project is to be provided by the remitters. The fund could be collected via bonds/sakuks. Suppose the government want to finance energy project whose cost is about 100 billion. These 100 billion can be collected through 100,000 bonds each of price 750 dollar. These bonds can be made available in the foreign branches of Pakistani embassies, and Pakistani community centers and Pakistani banks working abroad. .

c. Management/Supervision

There are two main stakeholders in this investment model, remitters and the government. The remitters are unable to supervise a business since they are working outside their abroad. Therefore the responsibility of management is to be taken by Government. However the remitters/bond holders should be allowed to send their nominees in the management through election or some other suitable mechanism to take care of their concerns. Therefore the management of such project is a joint venture of government and investors

7.2.3: Ensuring Success and Sustainability of the Venture

Collecting funds for development project is not that much complicated. However, insuring that the venture would be profitable would be a challenge. Suppose the government needs to raise funds for an energy project, she can do it by issuing bonds/skuks in the name of project. However, in order to make this venture profitable, sustainable and to establish confidence of Diaspora in fund collection and return disbursement procedure, the funds collection must be accompanied by certain measures. These measures are illustrated in the diagram below:



These measures are explained in the following:

a. Trustworthy Supervisory Board

Remitters are the people working abroad and cannot supervise the project here in the homeland. Therefore, they need an investment which insures safer return without the entrepreneurial panic. For this purpose they must have trust in the investment they are making. Therefore for any venture started for the utilization of remittances should be in the hands of a trustworthy supervisory board. Such a supervisory may consist of (i) the elected representative/nominees of remitters, (ii) representative of concerned government institutions (iii) technical experts.

b. Ensuring Risk Free Return

The remitters are currently investing in the real estate and they are fond of the risk free returns. Therefore, any alternative investment should also have minimum risk. There are many other investments which have very low chance of running in loss. For example the demand of energy is already higher compared to the supply. Therefore a power project has no chance of difficulty in marketing. The proper cost management can ensure safe return on the investment.

c. Liquidity of Bonds

Liquidity of investment can create a greater charm. This means an investor can withdraw his/her amount whenever needed. The bond should be returnable to the banks and/or should be saleable to any other investor. The one who has possession of the share currently should be eligible to get the return.

d. Proper Legislation

It would be lot of helpful if the investment in such investment is protected by proper legislation. For example, there could be legislation for the safe return of original investment of investor through the State Bank of Pakistan. The operating procedures, return, liquidity, and all other things related to such investment project should be protected by the appropriate regulatory framework duly approved by competent forums.

e. Real Estate Sector Reforms

Reforms in the real estate sector are necessary for sustainable growth in proper utilization of investable remittances. At present the fiscal structure of the countryisbiasedtowardtherealestatebusiness.Supposeapersonbuysaplotfor Rs 1 million and sells in Rs 5 million within one year, he has to pay nothing on hisprofitofRs4 million. On the other hand, a government servant has to pay tax when his earning exceeds 0.4 million per annum. The housing for sake of personal need may be subsidized by not imposing any tax; however real-estate as investment should be discouraged. Huge property tax should be imposed for holding large number of plots and building in possession. A second plots hould be allowed to purchase only, if first plot is utilised in some productive use. A person purchasing too much plots, should be taxed heavily. Anyhow, the real estate should be mad less attractive than the business so that the investor agrees to pull his investment from real estate into a productive business.

***f. Media* Campaign**

Investing in a labour intensive business is a direct input in the employment opportunity. Therefore Government can ask national celebrities to appeal the remitters to invest in labour intensive business and business maintained by government using investable remittances. The religious scholars can also play a role in this regard.

7.3: Advantages of Fund Raising From Remitters

There are several advantages of fund raising from the remitters compared to borrowing from the international sources. These include

i. In case of borrowing from any international donor, the return is to be paid in excess quantity and in foreign currency. Therefore the demand of outflow of foreign currency in future will increase. In case of borrowing from remitters, the return will be paid in local currency and will put no burden on the foreign exchange reserves management.
ii. The return to a foreign donor will transfer resources from the country to the foreign donor. In case return is given to a remitter, the return will transfer from one institution to another individual in the same economy. Resources will not flow out of economy.
iii. The repayment to a foreign donor is to be made at a certain time and in bulk of quantity. The fund raised by bonds will not have to be returned on any such fixed date. Anybody who wants to cash his bond can do it any time. The bond holder will not have any specific preference about the date to sell his bond. Therefore the liquidity problem would be easier to handle.

7.4: Remittances, Growth and Unemployment

At present remittances contribute very little to the aggregate GDP growth and employment because of the reasons mentioned above. This is evident from the fact that in last decade, the average rate of GDP growth during last 10 years (2004-13) has been only 4.5 percent despite the fact that average growth of remittances in the same period has been 14 percent. The correlation coefficient between rate of GDP growth and rate of increase in remittances has been negative and insignificant. The results presented in Chapter 5 suggest that a huge proportion of the investable part of remittances goes into sale and purchase of property.

However, since there is no systematic mechanism for utilizing the remittances in productivity enhancing projects; most of the remittances go into capital intensive business especially real estate. This paper develops mechanism by which the remittances could be used for various projects. The consequence of this type of intervention will be increase in productivity, creation of employment opportunities, reduction in poverty level and improvement of several other macroeconomic indicators.

7.5: Final Remarks and Conclusion

This project analysis shows that a huge amount of remittances is available in form of investable fund which is comparable with the budget of federal government of Pakistan. These investable funds are currently being invested in real estate market in Pakistan. The Real estate business is extremely capital intensive and produces too little jobs for too much money. Pakistan is labour abundant country, and needs labour intensive business instead. This paper proposes a model for utilising the investable remittances for the development projects like energy sector projects. This results also shows that fund raising from the remitters is preferable to the foreign loans because of many reasons. In case of fund raising from remitters there will be no burden on foreign exchange reserves, the return will circulate inside the economy and the liquidity management will be relatively easy. Therefore this project strongly recommends the reshaping the role of remittances in the betterment of economy and taking serious steps in better utilisation of remittances for removing the economic problems prevailing in thesociety.

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ANNEXES
Annexure A:

Role of Remittance in Pakistan Economy: Analysis of the current status and Guidelines for Reforms, A Survey of Remitters

Pakistan Institute of Development Economics, Islamabad with Financial Support of Higher Education Commission, Government of Pakistan

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Asalam-o-alaikum

As you know that the overseas Pakistan play a key role in economy of Pakistan and due to the commercial deficit, the biggest means of avoiding the possible potential of Pakistani economy, is the outcome sent by Pakistanis abroad.

But in exchange for this, Pakistanis overseas are not respected as it should be respected. Due to this, Pakistan overseas are facing numerous problems abroad, and especially if a Pakistani wants to stay in Pakistan by abandoning her foreign job, it has to face a lot of problems.

This research aims to highlight the role of Pakistani overseas in economy of Pakistan and inform the government about their problems. This research is being organized by the Pakistan Institute of Development Economics, the most respected institution of economic research in Pakistan. The financial assistance for this project is provided by Higher Education Commission of Pakistan. The results and recommendations of this research will be presented to government institutions, so that the rights of Pakistanis can be given to the rights they deserve.

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السلام علیکم ورحمۃ اللہ

آپ جانتے ہیں کہ بیرون ملک مقیم پاکستانی معیشت کیلیۓ ریڑھ کی ہڈی کا کردار ادا کرتے ہیں اور تجارتی خسارہ کے باعث جو ممکنہ دباؤ پاکستانی معیشت پر پڑسکتا ہےاس سے بچنے کا سب سے بڑا ذریعہ بیرون ملک پاکستانیوں کی بھیجی گئی رقوم ہیں۔لیکن اس کے بدلے میں بیرونی ملک پاکستانیوں کو اسطرح عزت ووقار نہیں دیا جاتا جس کے وہ مستحق ہیں۔اس وجہ سے بیرون ملک پاکستانی بےشمار مسائل کا شکار ہیں،اور بالخصوص اگر کوئی پاکستانی اپنی بیرون ملک جاب ترک کر کے پاکستان میں رہنا چاہےتو اس کو بےشمار مسائل کا سامنا کرنا پڑتا ہے۔

اس تحقیق کا مقصد یہ ہے کہ بیرونی ملک پاکستانیوں کے پاکستانی معیشت میں کردار کو اجاگر کیا جاۓ اوران کے مسائل کے بارے میں حکومت کوآگاہ کیا جاۓ۔یہ تحقیق پاکستان میں معاشی تحقیق کے معتبر ترین ادارے پاکستان انسٹی ٹیوٹ آف ڈیولپمنٹ اکنامکس کے زیراہتمام کی جارہی ہے اوراس کے لئے مالی تعاون ہائیرایجوکیشن کمیشن آپ پاکستان نے فراہم کیا ہےاس تحقیق کےنتائج اورسفارشات حکومتی اداروں کے سامنے پیش کی جائیں گی،تاکہ بیرونی ملک پاکستانیوں کووہ حقوق دلوائیں جاسکیں جن کے وہ مستحق ہیں۔

آپکا تعاون ہمارے لئے بےحد قابل قدر ہے
اورانشااللہ،بیرونی ملک پاکستانیوں کےمسائل میں کمی کا سبب ثابت ہوگا۔

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Co- Principal Investigator: Mr. Shakeel Shahzad , Visiting Lecturer Shaheed Zulfiqar Ali Bhuto Institute of Science and Technology (SZABIST)

Email: shakeel@diallogue.org

Research Questionnaire for Migrants

Role of Remittance in Pakistan Economy: Analysis of the current status and Guidelines for Reforms Funded by the Higher Education Commission of Pakistan (HEC)

Start Time: ___hr ______ min, Date: ____/____/_____

Background Information

1. Head of household ____
2. Gender_________________ ☐ Male ☐ Female 3. Age __________
4. Marital Status ☐ Single ☐ Married ☐ Widow ☐ Divorced ☐ Separated
5. Number of Children____
6. Village Town ________________________ Tehsi ___________________
7. District ____________________________________ Province _____________________
8. House type _____________________ Ownership house ________________
9. Education ☐ Illiterate ☐
10. Residential Area Rural ☐ Urban ☐ Other ☐

Information Related to Remitters

Serial Number	1	2	3	4
Name				
Age				
Gender				
Education (years of schooling)				
Subject (if any)				
Profession				
Skill Level				
Country of destination				
Experience				
Income (Denomination in destination				
Currency				
Amount Remitted (1st of last 3 months)				

Amount Remitted (1st of last 3 months)				
Amount Remitted (1st of last 3 months)				
Currency				
Relationship of remitter to head of family				
Marital Status				
Where are the children of remitters				
Where is the spouse of remitter				
Tenure in present country				
Total tenure in foreign countries				

Information on Related to family members in Pakistan

Serial No	1	2	3	4	5	6	7	8
Name								
Age								
Gender								

Current Profession									
Income from job/pension (if any)									
Income from business (if any)									
Education (years of schooling)									
Relationship to head of family									
Relationship to Remitters									
Type of school/college (if student)									
Educational Exp (if student)									
Medical Exp (If any)									
Other extra ordinary expenditure (if any)									

What you did from Remittances (other than kitchen and educational expenditures) during last 6 months

1. Medical Expenditures of family members ___________________________________
2. Marriage of any family member____
3. Repayment of loans ____
4. Donaons to extended family____
5. Donaon to other charitable ____
6. Construcon/Repairs of house residing in___________________________________
7. Payment of installment of residential /commercial property in housing society _____________________________
8. Payment for purchase of residential/commercial property other than housing society _____________________________
9. Payment for purchase of agricultural property______________________________
10. Starng business for any family member in Pakistan__________________________

What business i f any have you started from remittances?

Business	Amount invested	No of people engaged From remitters family	No of people engaged From outside family
Real Estate Business			
Sole Proprietorship			

Manufacturing Business			
Corporation			
Partnership			

Role of Remittance in Pakistan Economy: Analysis of the current status and Guidelines for Reforms

A SURVEY OF REMITTERS PAKISTAN INSTITUTE OF DEVELOPMENT ECONOMICS, ISLAMABAD

With Financial Support of Higher Education Commission, Government of Pakistan

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اور تجارتی خسارہ کے باعث جو ممکنہ دباؤ پاکستانی معیشت پر پڑسکتا ہے اس سے بچنے کا سب سے
بڑا ذریعہ بیرون ملک پاکستانیوں کی بھیجی گئی رقوم ہیں۔لیکن اس کے بدلے میں بیرونی ملک پاکستانیوں
کو اسطرح عزت ووقار نہیں دیا جاتا جس کے وہ مستحق ہیں۔اس وجہ سے بیرون ملک پاکستانی
بے شمار مسائل کا شکار ہیں،اور بالخصوص اگر کوئی پاکستانی اپنی بیرون ملک جاب ترک کر کے

آپ جانتے ہیں کہ بیرون ملک مقیم پاکستانی معیشت کیلئے ریڑھ کی ہڈی کا کردار ادا کرتے ہیں
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RESEARCH QUESTIONNAIRE FOR RETURNED MIGRANTS

Role of Remittance in Pakistan Economy: Analysis of the current status and Guidelines for Reforms Funded by the Higher Education Commission of Pakistan (HEC)

Start Time: ___hr ______ min, Date: ____/____/_____

Background Information

1. Head of household ______________________________
2. Gender________________ ☐ Male ☐ Female 3. Age __________
4. Marital Status ☐ Single ☐ Married ☐ Widow ☐ Divorced ☐ Separated
5. Number of Children______________________________
6. Village Town ________________ Tehsi ______________
7. District ______________________ Province ______________
8. House type Ownership house ____________
9. Education ☐ Illiterate
10. Residential Area Rural ☐ Urban ☐ Other ☐

11. In which country did you live?

____

12. For how much did you serve in foreign?

____

13. What was the salary/approximate business income when you returned ed home?

____

14. What was the main reason for your returned to home?
   a. Education of children
   b. Retirement from foreign job
   c. Age factor
   d. Change in behavior of people in country of destination
   e. Loss in business
   f. Religious intolerance
   g. Medical problem
   h. Family issue
   i. Any other (specify):___________________________________

15. When did you left foreign job. (Year)_____

16. Approximate savings to survive in Pakistan when you left your foreign job_____

17. What are you currently doing?
   a. Salaried job
   b. business

c. unemployed

18. If your answer is 'business', what kind of business you have?

Wholesale business (Describe)

a. Retail Business (describe)
b. Repairing/Maintenance of Machinery
c. Agriculture farm
d. Livestock farm
e. Real estate
f. Small production unit
g. Share in a mega enterprise
h. Any other (specify)
i. Educational Institution
j. Health institution
k. Security institution
l.
m. Other services

19. What was the percentage contribution of following sources in starting your business in Pakistan?

a. Savings ________________
b. Selling real estate:_________________
c. Selling other belongings:______________________
d. Loan from relatives:__________________________
e. Loan from financial institutions:_____________________
f. Other (Specify):___________________________

20. In your opinion, what is the biggest hurdle for the returned migrantswho want to settle in Pakistan?

_

21. What is your current approximate income? ________________________________

22. What is your advice for the migrants who want to come back to Pakistan?____

23. Would you want your children to send overseas in future?____

Thank for your response and Valuable time

Pakistan Institute of Development Economics (PIDE), Islamabad